

Bank of Kigali

Investor Presentation

9M 2013

Disclaimer

This presentation contains statements that constitute “forward-looking statements”, including, but not limited to, statements relating to the implementation of strategic initiatives and other statements relating to our business development and financial performance.

While these forward-looking statements represent our judgments and future expectations concerning the development of our business, a number of risks, uncertainties and other factors could cause actual developments and results to differ materially from our expectations.

These factors include, but are not limited to, (1) general market, macroeconomic, governmental policies, legislative and regulatory trends, (2) movements in local and international currency exchange rates, interest rates and securities markets, (3) competitive pressures, (4) technological developments, (5) changes in the financial position or credit worthiness of our customers, obligors and counterparties and developments in the markets in which they operate, (6) management changes and changes to the Bank’s structure and (7) other key factors that we have indicated could adversely affect our business and financial performance, which are contained elsewhere in this presentation and in our past and future filings and reports, including those filed with the National Bank of Rwanda and the Rwanda Stock Exchange.

We are under no obligation (and expressly disclaim any such obligations to) update or alter our forward-looking statements whether as a result of new information, future events, or otherwise.

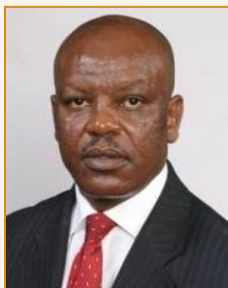
Key Executives



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Agenda

1. Key Investment Highlights
2. Country Overview Information
3. Banking Sector Overview
4. Bank Overview
5. Corporate Governance
6. Business Overview
7. Review of Financial Performance
8. Strategic Outlook
9. Contact Information

Key Investment Highlights

1. Best Bank in Rwanda 2013



2. Best East African Bank 2012



3. Bank of the Year 2009-2012



4. Best Bank in Rwanda 2009-2012



5. Best African Listing



6. Best Financial Reporting Company 2012, Rwanda



7. AA-/A1 Credit Rating



The rating reflects the Bank's established domestic franchise value, strong capital position, its systemic importance, strong asset quality and financial performance.

Sound Macro Fundamentals

- Politically stable country with sound governance
- Very attractive demographic profile: population of 10.5 million with 83% below the age of 40
- Robust economic growth of 4.1% - 8 % between 2006-2012 and 7.5% expected for 2013
- Moderate inflation: Inflation at 4.6% in November 2013
- Very friendly business environment, ranked fifth-best destination for investment in the world according to the 2013 Baseline Profitability Index (BPI)

Significant Banking Sector Potential

- Significant headroom for growth given low banking penetration
- Total assets/GDP of 29%
- Large unbanked population of approximately 77%
- Well regulated banking sector: fairly conservative regulator relative to regulators in the EAC

Market Leadership

- Market leadership by
 - Total assets (RwF 392.7 billion–September 2013) – 33.8% market share
 - Net Loans (RwF 195.3 billion–September 2013) – 31.8% market share
 - Customer Deposits (RwF 243.2 billion–September 2013) – 29.4% market share
 - Shareholders' equity (RwF 68.7 billion–September 2013) –32.8% market share

Conservative Business Model

- Relatively high capital adequacy ratios ranging from 14.0% - 22.7% between 2007 and 9M 2013
- Manageable level of non-performing loans – 6.7% of gross loans in 9M 2013, down from 19.4% in 2007
- Loans to deposit ratio range of 54.8% - 80.3% between 2007 and 9M 2013.

Experienced Management Team

- Management team with significant banking sector experience
- Complemented by an experienced and diversified Board of Directors
- Track record of producing stellar results

Profitable Growth

- Robust asset growth at a CAGR of 27.9% (2008-2012) - RWF 392.7 billion in 9M 2013
- ROAA ranging from 3.0% - 4.0% between 2006 and 9M 2013

COUNTRY OVERVIEW INFORMATION

Rwanda – Country Profile

National Facts

Area	26,338 sq km
Population (2012)	10.5 million
Official Languages	Kinyarwanda, French, English
Capital	Kigali
Currency	Rwandan Franc (RWF)
Credit Rating	B/Positive (Fitch Ratings) B/Stable (Standard & Poors)
Nominal GDP (2013 E)	US\$ 7.6 billion
Nominal GDP Per Capita (2013 E)	US\$ 724

Macro Economic Indicators

Real GDP Growth Rate 2012	8%
Real GDP Growth Rate 2013E	6.6%
Inflation Rate (December 2013)	3.7%
Private Sector Credit Growth (Nov 2013)	11.3%
Current-account deficit as a % of GDP (2013)	10.4%
External Debt to GDP (2013)	29%
Currency Depreciation against USD (Dec 2013)	6.1%
FDI as % of GDP (2012)	2.34%
Official Reserves (June 2013)	3.7 mths of imports

Source: IMF, CIA World Factbook, Ministry of Finance and Economic Planning, National Institute of Statistics Rwanda, and National Bank of Rwanda,

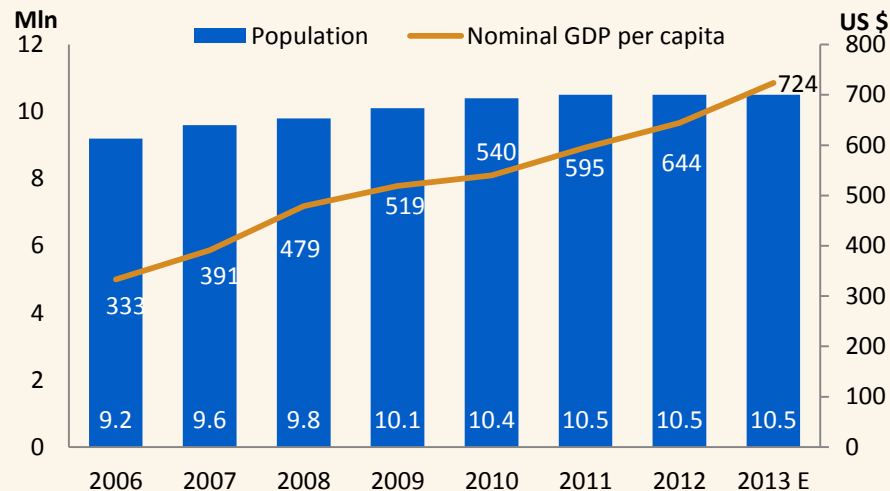
Business Environment

- Ranked fifth-best destination for investment in the world according to the 2013 Baseline Profitability Index(BPI) which surveyed 102 countries world wide. Countries were ranked by three main components of the index: asset growth, preservation of value, and repatriation of capital
- Since 2005, Rwanda has implemented over 22 business regulation reforms in the areas measured by the World Bank Doing Business Index.
- Today, entrepreneurs can register a new business online in 6 hours

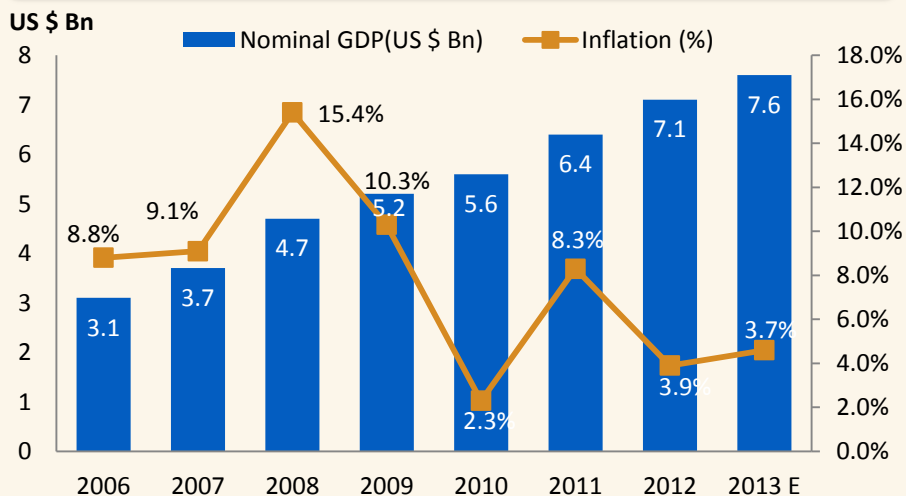


Sound Macro Fundamentals

GDP per Capita continues to grow

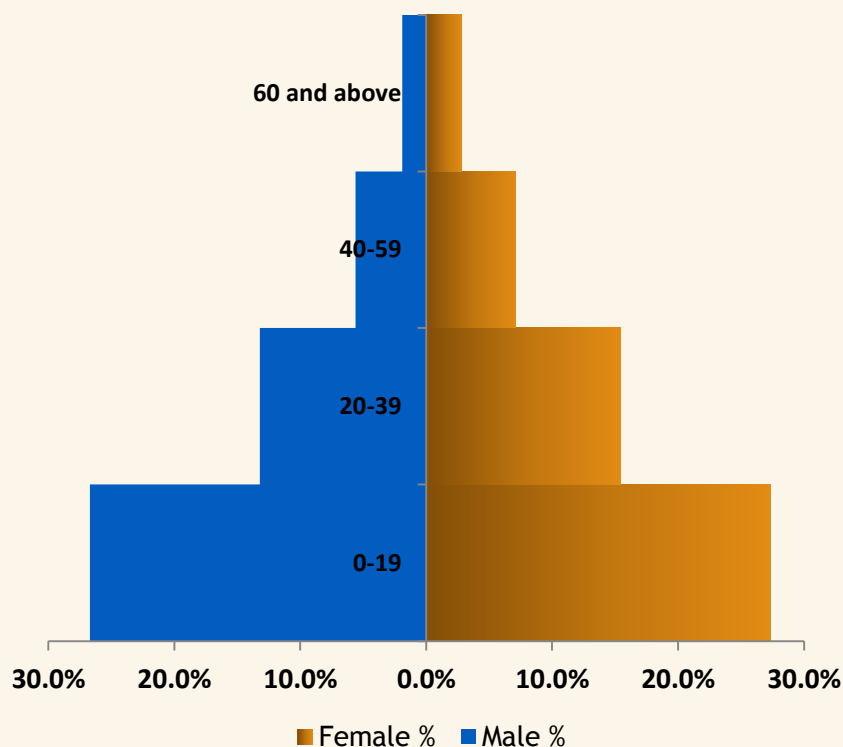


Healthy GDP growth with moderating inflation



Source: Ministry of Finance and Economic Planning, IMF

Population Pyramid for Rwanda

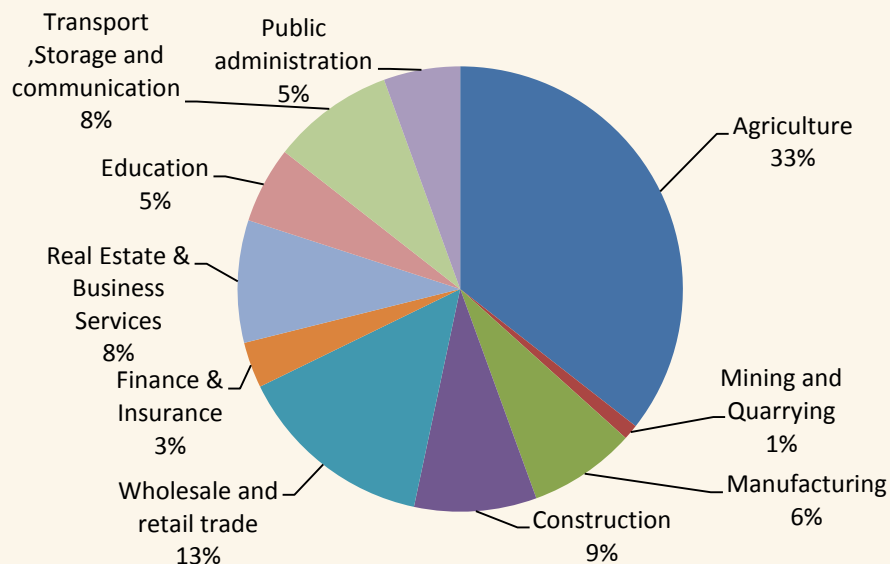


- 54% of the population is under 19 years.
- 83% of the population is under 40 years.
- 3% of the population over 65 years.

Source: National Institute of Statistics Rwanda

Macroeconomic Indicators

GDP Breakdown By Economic Activity 2012



Source: National Institute of Statistics Rwanda

Trade Deficit as a % of GDP



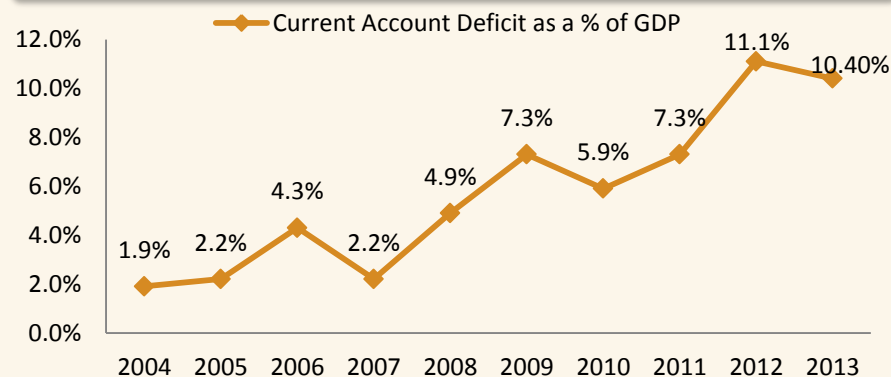
Source: Ministry of Finance and Economic Planning, IMF

Trade Structure

- Rwanda's exports are dominated by coffee, tea and minerals (tin, coltan and wolfram).
- The country remains a net importer. Major imports include fuel and oils, intermediary goods especially construction materials, consumer goods, and capital goods.
- Informal cross-border trade is a significant component of Rwandan external trade (approx. 17.4% of total exports). 75% of these exports are destined to DRC.
- Official reserves were estimated at 3.7 months of goods imports as of June 2013

Source: NBR Monetary Policy Statement

Current Account Deficit as a % of GDP



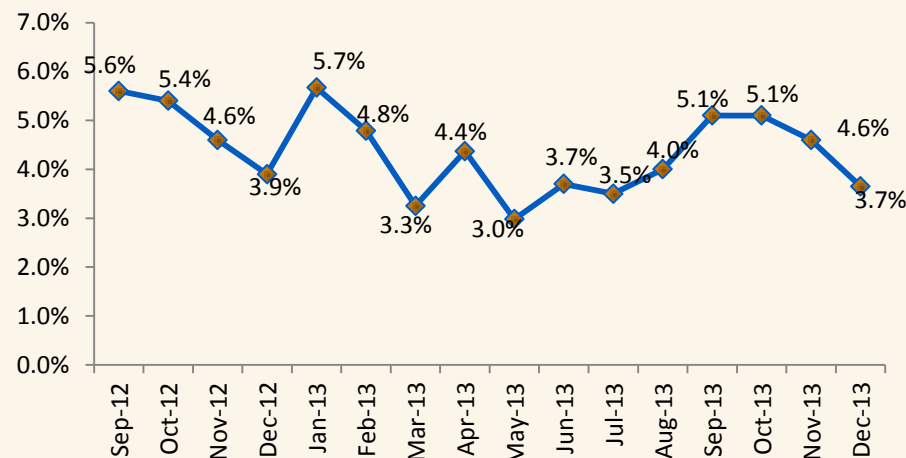
Source: National Institute of Statistics Rwanda

Review of the Macro Economic Environment 9M 2013

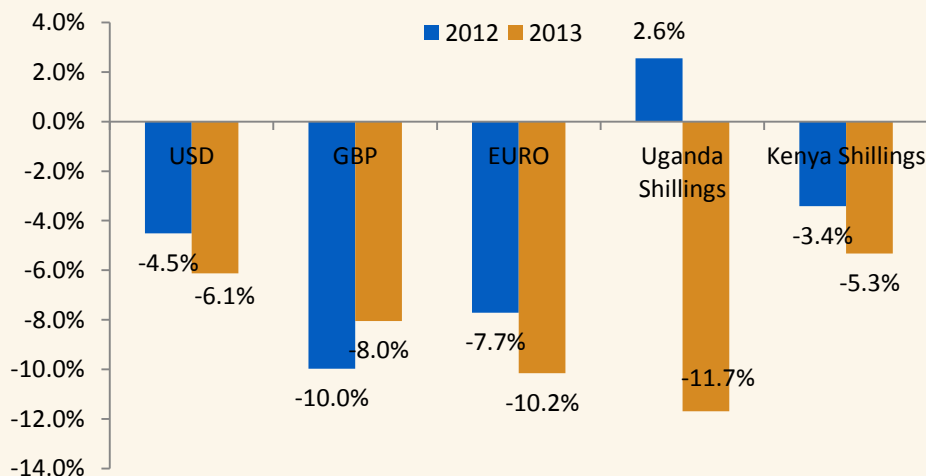
Macro Economic Review

- Annualised real GDP growth stood at 5.7% in the second quarter of 2013 .
- The growth was driven by the services and agriculture sectors which contributed 45% and 33% respectively to GDP while the industry sector contributed 16%
- The annual headline inflation grew to 3.65% in December 2013 from 3.7% in June 2013 and 3.9% in December 2012.
- The Central Bank policy rate was reduced from 7.5% in May 2012 to 7% in June 2013 and has since remained to date
- Rwanda's total trade during the first nine months of 2013 amounted to US\$ 2.62 Billion made up of imports of US\$2.1 Billion, exports of US\$ 455.59 million, and re-exports of US\$ 97.5 million.
- Niobium and tin ores were the main exports during the nine month period at US \$ 112.9 million.
- Fuel and diesel powered motor vehicles were the main imports at US \$ 816.4 Million and US \$ 133.2 Million respectively

Inflationary Environment Sept 2012- Dec 2013



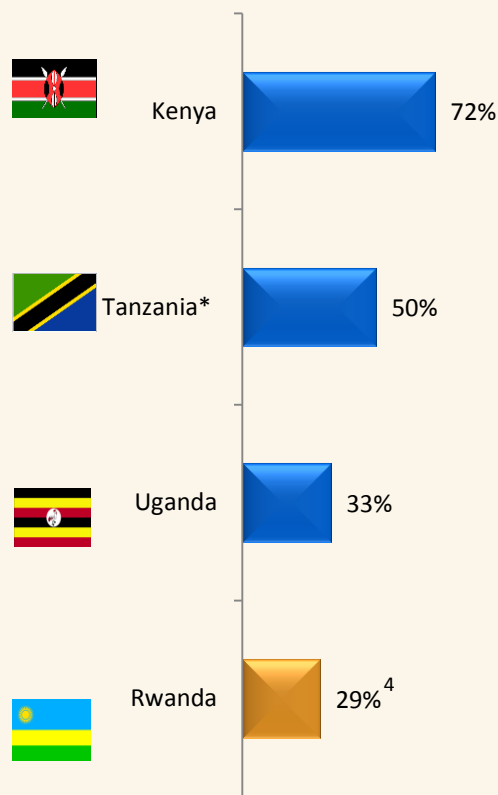
Exchange Rate Developments 2013



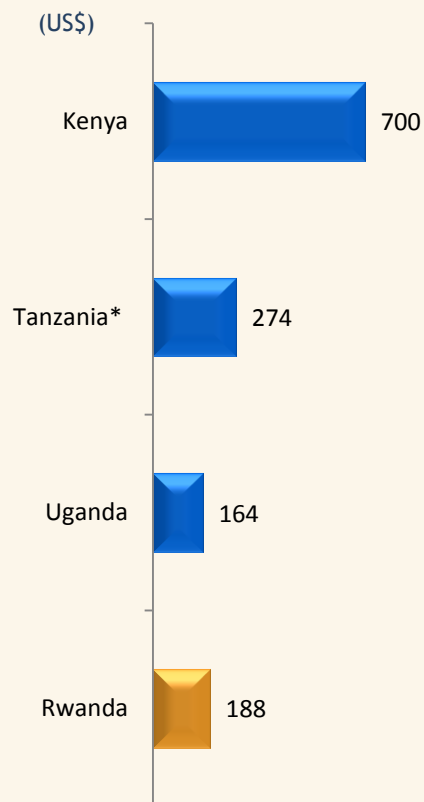
BANKING SECTOR OVERVIEW

Significant Banking Sector Potential

2012 Banking Assets/GDP



2012 Banking Assets Per Capita⁵



Large Unbanked Population

- Economy is moving away from being cash based through the various financial inclusion initiatives being undertaken by financial institutions including the launch of agency banking and mobile money transfer services
- Approximately 72% of the population have or use financial products or mechanisms including those offered by non- bank formal financial institutions such as SACCOs

Source: Finscope Rwanda 2012

Prudential Regulations

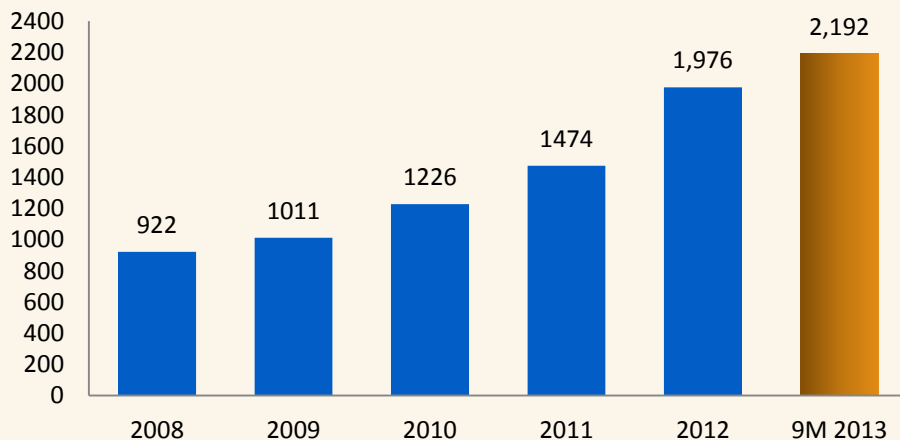
CAR (Tier One)	10%
Total CAR	15%
Liquidity Ratio	20%
Reserve Requirement	5% of total deposits
Lending in foreign currency	Restricted to exporters

- (1) Source: Central Bank of Kenya and IMF Economic Outlook Database April 2013
 (2) Source: IMF and Tanzania Banking Survey 2011 (Serengeti Advisers)
 (3) Source: Bank of Uganda Financial Stability Report June 2012
 (4) Source: IMF 2013 Estimates & National Bank of Rwanda 9M 2013 data
 (5) Source: Population stats by IMF
 *2011 figures are used for Tanzania

Banking Sector Overview

Rwanda Banking System Total Assets

USD Mln



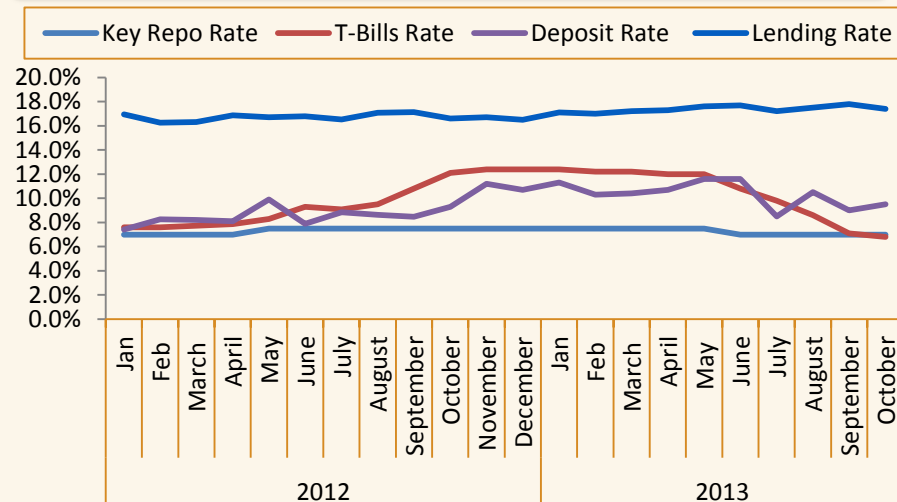
Source: NBR Monetary Policy Statement for the 9 month period ended 30 September 2013

Banking Sector Review 9M 2013

- As at end of September 2013, total CAR stood at 23.0% (YE 2012: 23.9%) well above the regulatory minimum of 15%. The sector's liquidity position stood at 46.2% (YE 2012: 41.2%).
- Non-performing loans (NPLs) to total gross loans increased to 7.2% in 9M 2013 up from 6.1% at the end of 2012

Source: NBR Monetary Policy Statement for the 9 month period ended 30 September 2013

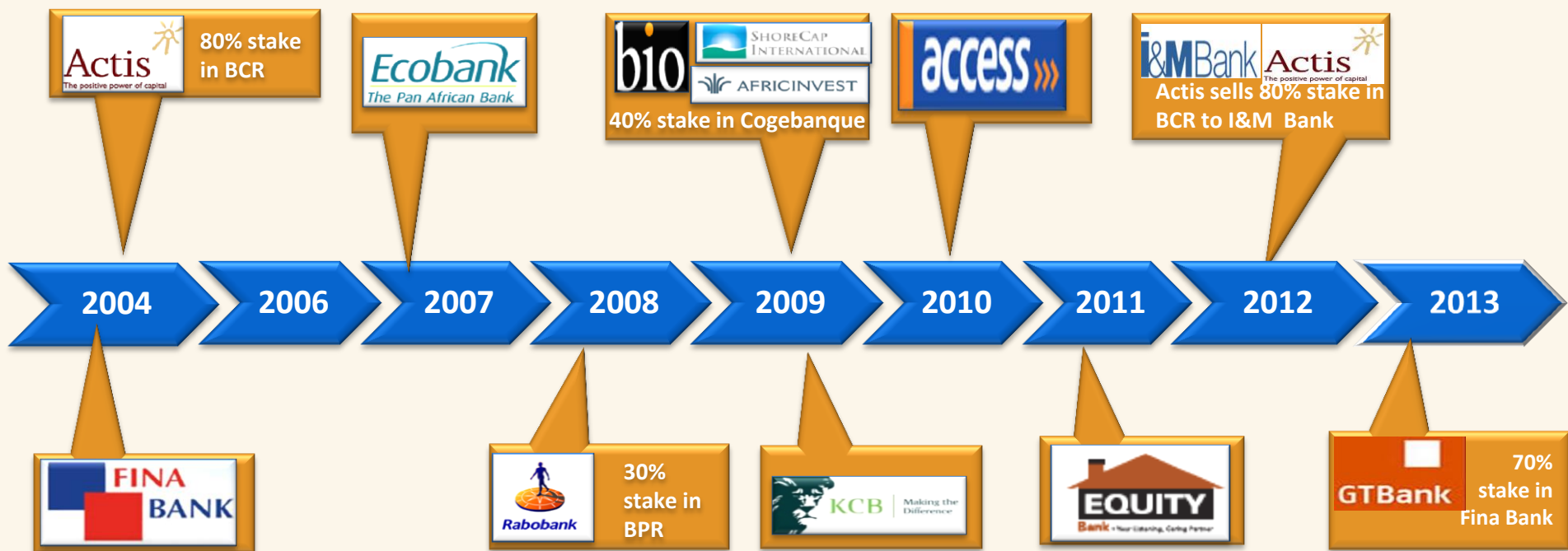
Interest Rate Analysis



Recent Regulatory Reforms To Improve Access To Credit

- Enactment of Law on Mortgages, requiring the registration of mortgages and enabling lenders to foreclose on defaulters
- Establishment of Commercial Courts dealing solely with commercial disputes
- Reorganization of the Land Centre which has computerised records and operations in addition to timely issuance of property titles
- Reorganization of the Office of the Registrar General to enhance and fast track registration of mortgages and foreclosures
- Establishment of Credit Reference Bureau to enhance information sharing among banks and other financial institutions in order to assist with credit risk assessment

Timeline of Foreign Investment In The Rwandan Banking Sector

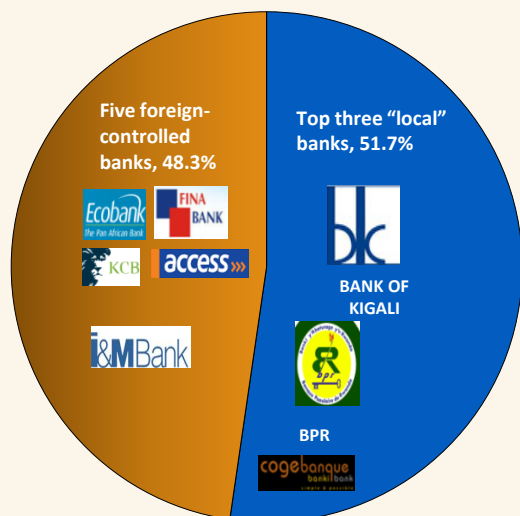


	2008	2009	2010	2011	2012	9M 2013
Bank of Kigali Market Share by Total Assets	23.4%	26.4%	27.4%	32.3%	31.7%	32.7%

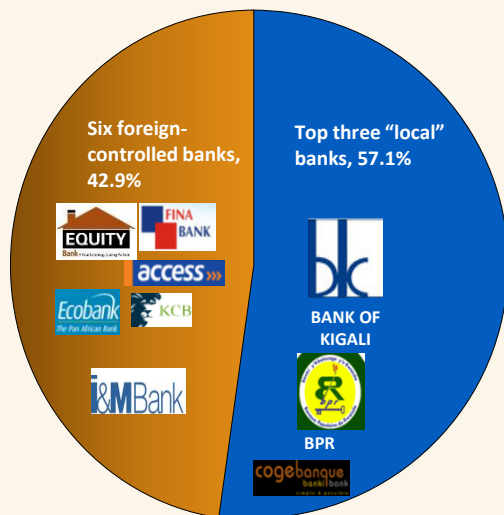
Banking Sector Overview Cont'd

Case study: Rwanda– six out of nine banks in Rwanda are owned by regional and Pan African banks and have lost market share to locally-run banks

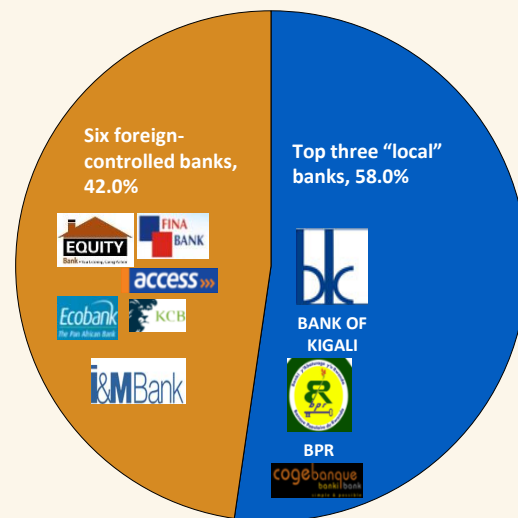
Market Share By Total Assets in 2008



Market Share By Total Assets in 2012



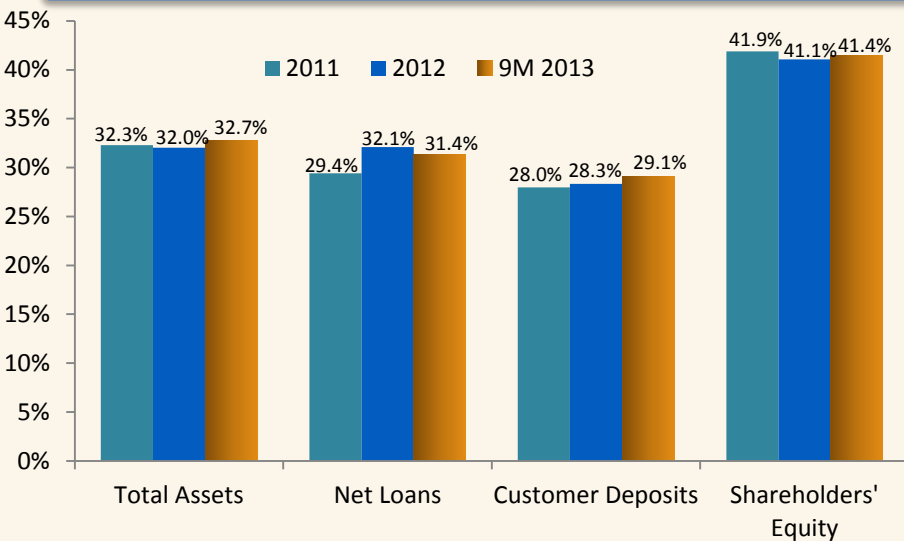
Market Share By Total Assets in 9M 2013



Source: the National Bank of Rwanda, company estimates

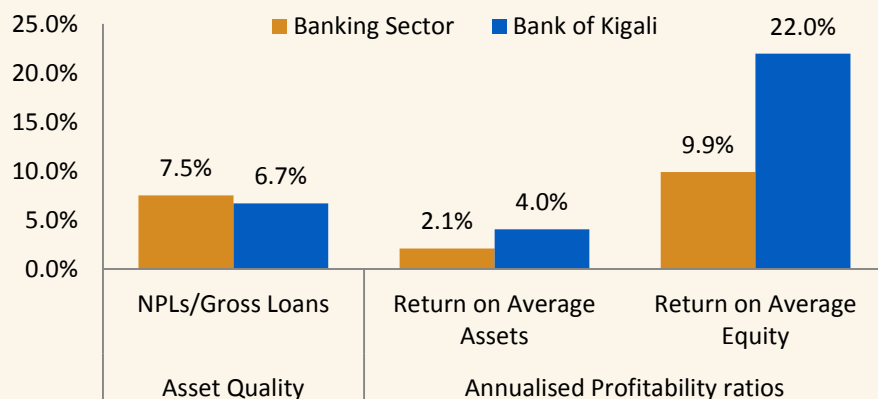
Competitive Landscape

Market Share Dynamics

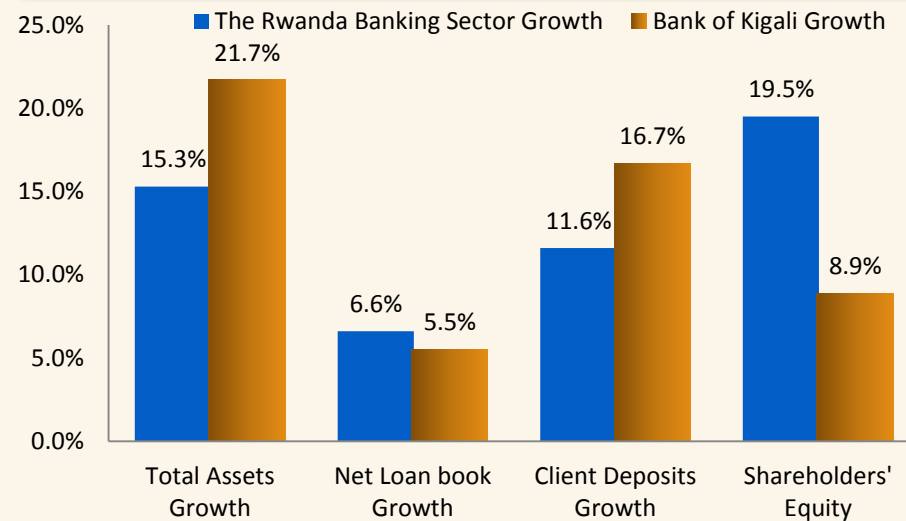


Source: NBR Supervision Department, BK Company Filings and published results of Banks * BPR figures are estimates

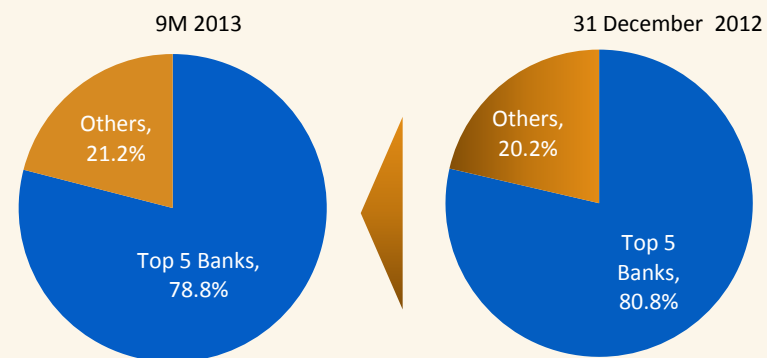
Selected Indicators 9M 2013



Banking Sector Growth Vs Bank of Kigali Growth 9M 2013



Concentration of Banking Sector Assets



Source: 9M 2013 Reviewed Results except BPR

Source: NBR Supervision Department, BK 9M 2013 Reviewed Results

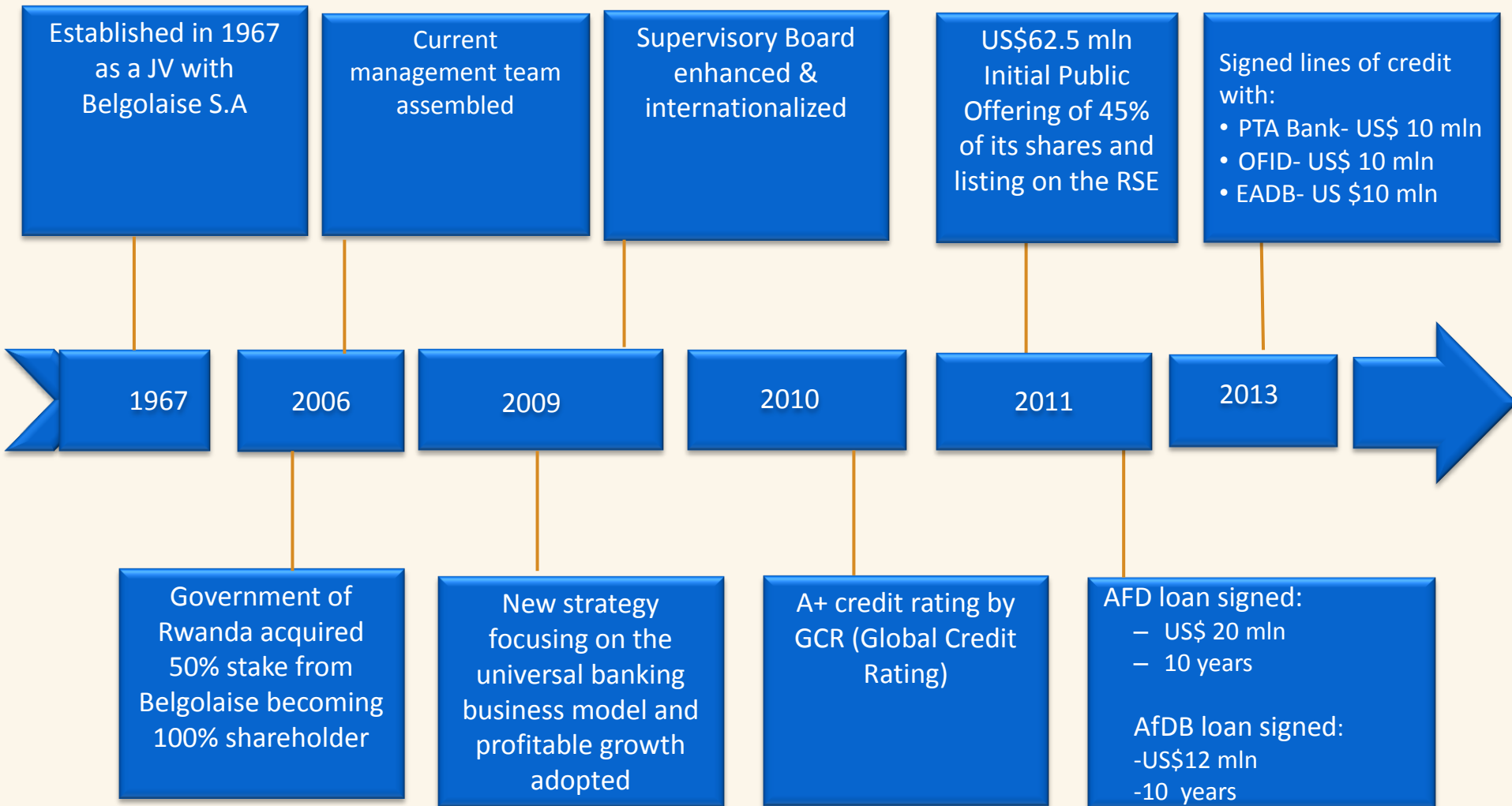
Bank Of Kigali Is The Market Leader

Rank	Total Assets		Net Loans		Customer Deposits		Equity	
1		32.7%		31.4%		29.1%		41.4%
	BANK OF KIGALI		BANK OF KIGALI		BANK OF KIGALI		BANK OF KIGALI	
2		13.6% *		18.6% *		14.6% *		12.1% *
	BPR		BPR		BPR		BPR	
3		11.7%		10.9%		12.5%		10.8%
	COGEBANQUE		ECOBANK		I & M Bank		I & M Bank	
4		11.0%		10.6%		10.9%		8.4%
	I & M Bank		I & M Bank		ECOBANK		ECOBANK	
5		9.7%		9.0%		8.5%		7.0%
	ECOBANK		COGEBANQUE		COGEBANQUE		COGEBANQUE	
6		6.8%		7.3%		8.0%		5.6%
	FINA BANK		FINA BANK		KCB		KCB	
7		6.5%		6.7%		7.8%		5.4%
	KCB		KCB		FINA BANK		FINA BANK	
8		4.4%		3.7%		5.2%		4.9%
	ACCESS BANK		EQUITY BANK		ACCESS BANK		ACCESS BANK	
9		3.6%		1.8%		3.4%		4.4%
	EQUITY BANK		ACCESS BANK		EQUITY BANK		EQUITY BANK	

Source: 9M 2013 published results for commercial banks reviewed in accordance with BNR guidelines * BPR figures are estimates & subject to change

BANK OVERVIEW

Background And History



A Snapshot Of Bank Of Kigali

Key Facts

- ☒ The leading bank in Rwanda (32.7% market share by total assets as at 30 September 2013), offering a wide spectrum of commercial banking services to corporate, SME and retail customers
- ☒ As at the end of 9M 2013 the Bank had:
 - ☒ Over 24,000 corporate current accounts
 - ☒ Over 214,000 retail current accounts
 - ☒ 65 branches
 - ☒ 63 ATMs
 - ☒ 951 employees
 - ☒ 144,309 debit cards in circulation
- ☒ Western Union, Money Gram and Express Money services for International Transfers
- ☒ One of two Banks in Rwanda that issue s International VISA cards.



US\$ million	2008	2009	2010	2011	2012	9M 2013	CAGR 2008-2012
Rwf/USD Period End rate	560.0	573.2	594.4	604.4	630.6	664.9	
Total Assets	215.7	264.9	332.6	476.3	511.9	590.6	24.1%
Net Loans	128.7	134.5	170.6	203.7	293.5	293.8	22.9%
Client Deposits	167.6	191.0	228.3	299.5	330.5	365.7	18.5%
Shareholders' Equity	28.4	32.3	53.6	101.9	100.1	103.3	36.9%
Net Income	10.1	9.2	10.4	14.4	18.5	16.3	16.3%

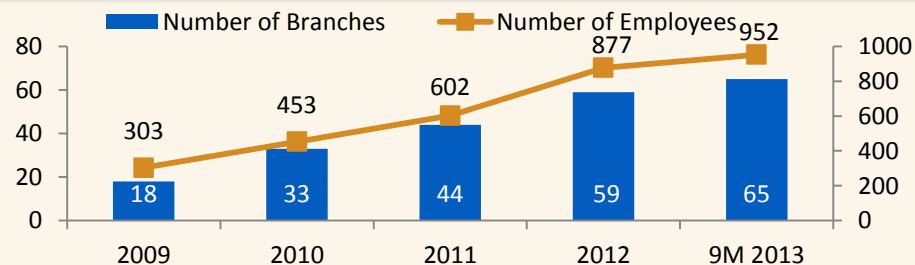
Growth figures are calculated on RwF Values.

Market Share

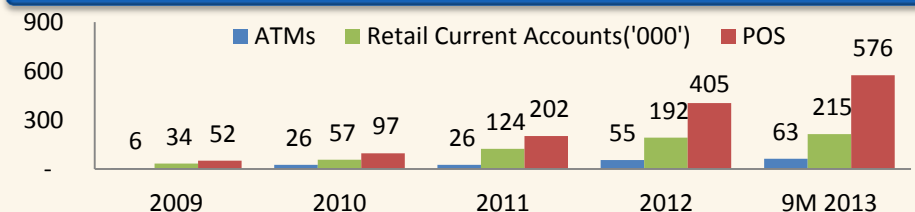
Total Assets	23.4%	26.4%	27.4%	32.3%	31.7%	32.7%
Net Loans	24.4%	26.8%	31.5%	29.4%	31.5%	31.4%
Client Deposits	24.6%	25.8%	25.9%	28.2%	28.1%	29.1%
Shareholders' Equity	22.3%	26.8%	32.2%	41.9%	41.9%	41.4%

Source: Bank of Kigali Audited Financials 2008-2012, BK Reviewed Results 1H 2013 and National Bank of Rwanda

Branch Network Evolution



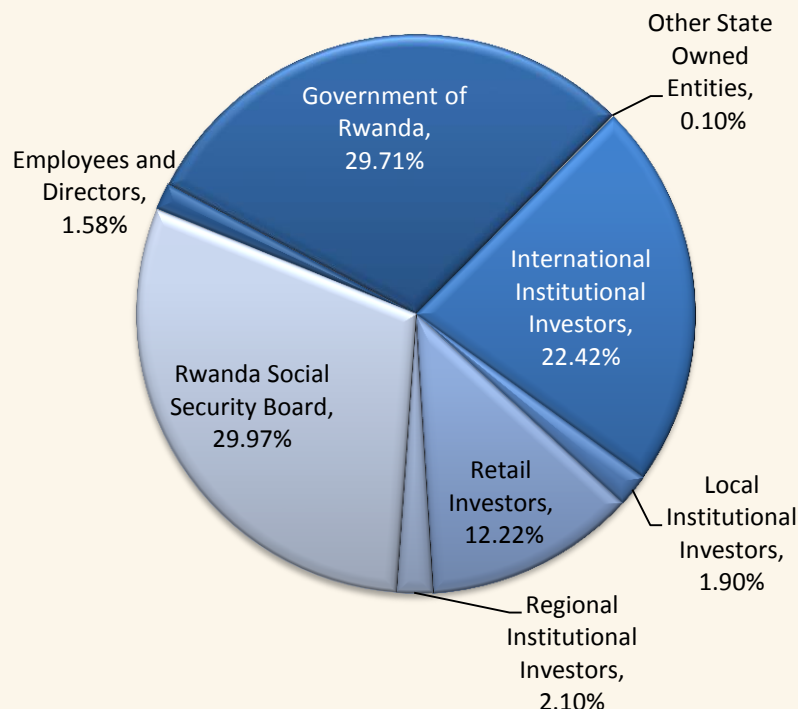
Growth in ATMs, POS Terminals and # of Retail Current accounts



CORPORATE GOVERNANCE

Shareholding Structure & Corporate Governance

Shareholding Structure as at 30 September 2013



Free float- 45%

Corporate Governance

- ✚ The Board of Directors has eight independent non-executive directors (including two non-resident directors with extensive expertise in international banking practices)
- ✚ The Board of Directors is approved by the Central Bank and meets on a quarterly basis or more frequently as the business demands
- ✚ The Board sets the strategy and retains full responsibility for the direction and control of the Bank as spelled out in the Memorandum and Articles of Association, the Board Charter and the corporate governance guidelines
- ✚ The Board sub-committees have clear TORs which underscore the scope and context of their performance as approved by the Board & corporate governance regulation
- ✚ The Board receives detailed financial information and regular presentations from the management on the Bank's business performance, this enables the Directors to make informed decisions on governance, strategic, financials and operational issues

Share Trading Performance

6 Feb 2014

Current price, Rwf	275
Market Cap, US\$ mln	272
Free float	45%
Free float in US\$ mln	123.4
Average daily traded volume in US\$ mln	0.1
Common shares outstanding, mln shares	669.4
12-month high	275
12-month low	170
P/E 2014F	10.65x
P/BV 2014F	2.24x
Dividend yield, 2013E	4.4%
Dividend yield, 2014F	4.7%
Ticker Code	BOK
Bloomberg	BOK. RW

Rwf/USD Exchange Rate of 674.02 as at 6 Feb 2014

**Capital gains on RSE transactions are exempted from Capital Gains Tax*

Analyst Coverage



Recommendation: **BUY**

Target Price: **Rwf 275**



Recommendation: **BUY**

Fair value: **Rwf 207**



Recommendation: **BUY**

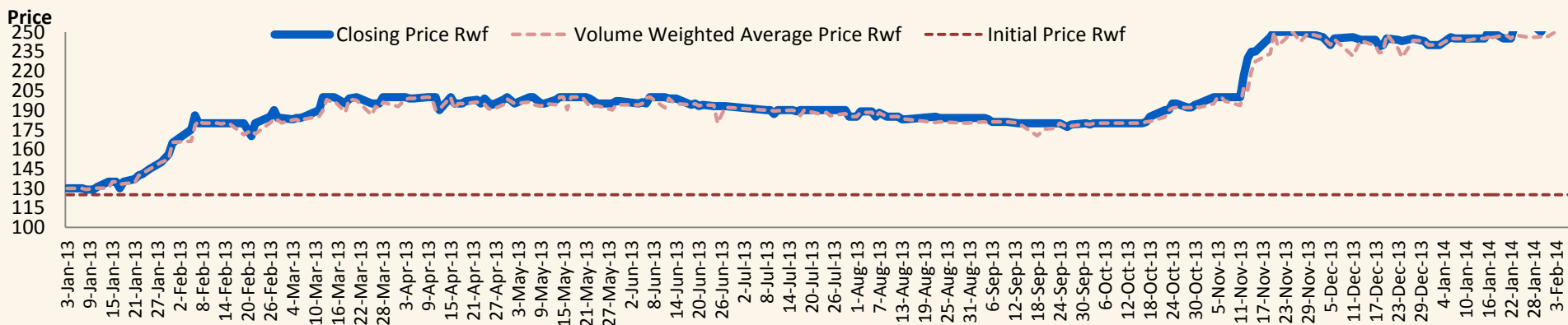
Target Price: **Rwf 220**



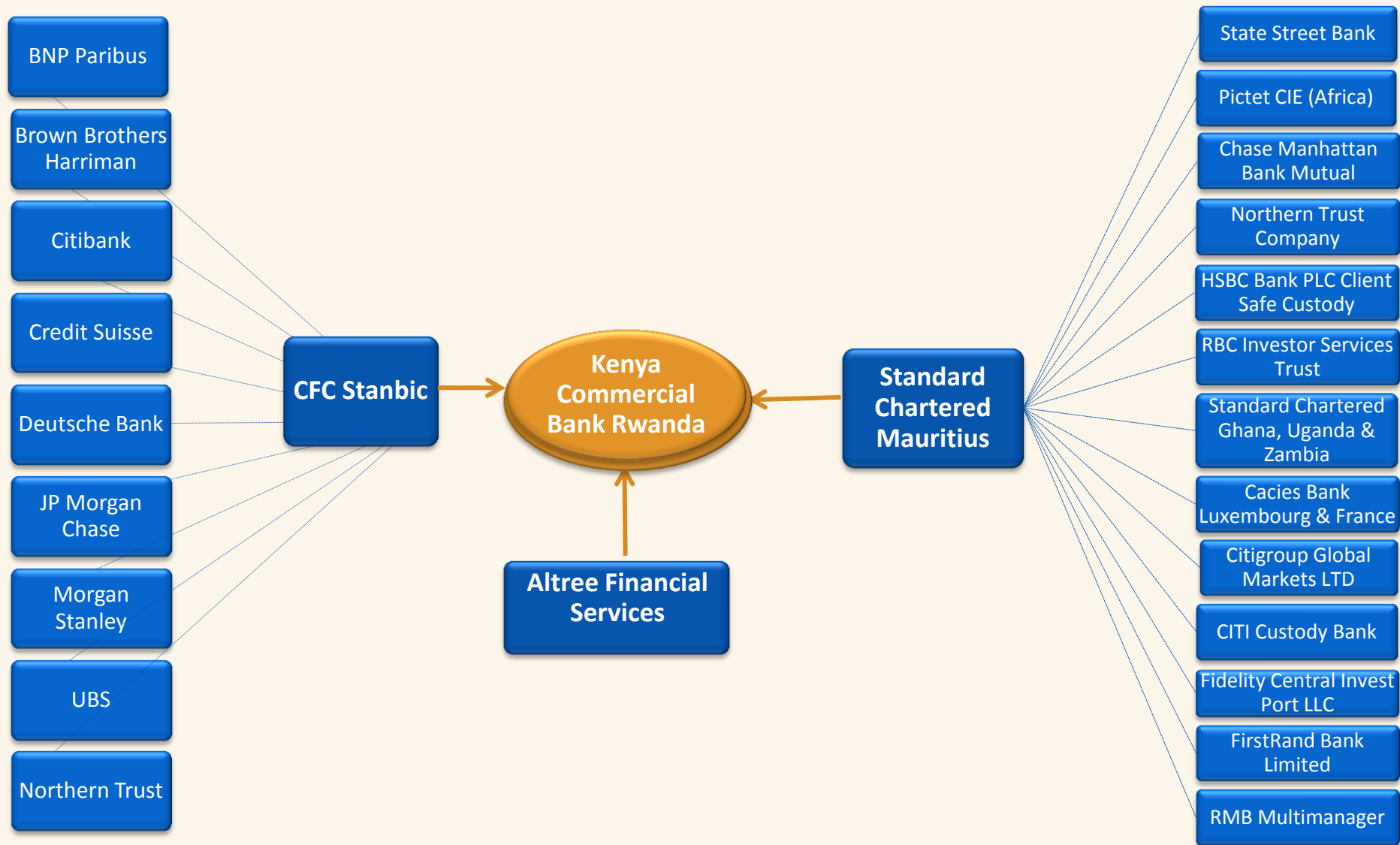
Recommendation: **HOLD**

Target Price: **Rwf 235**

Share Price Performance since start of trading



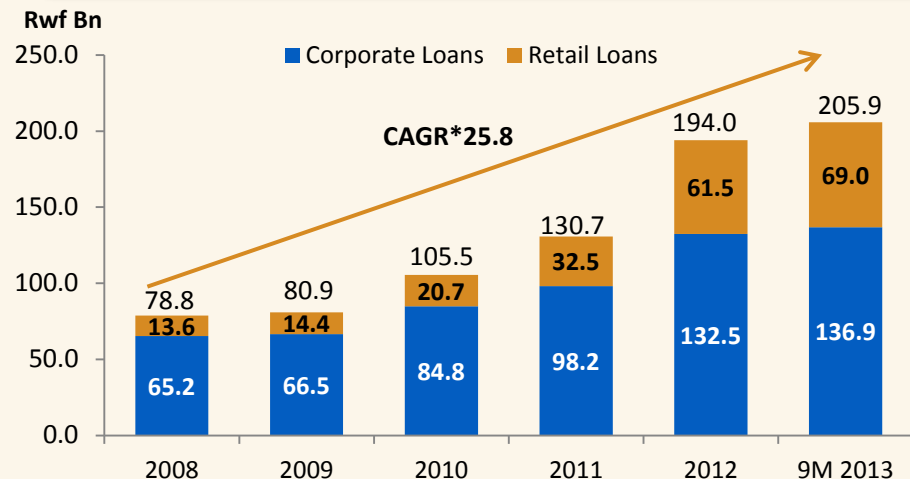
Custodial Service Chain



BUSINESS OVERVIEW

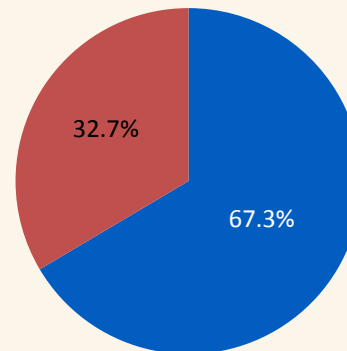
Overview of the Loan Book

Gross Loan Portfolio

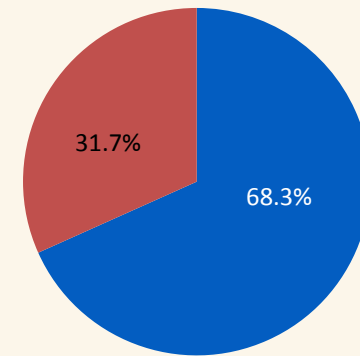


Loan Book Segmentation

9M 2013



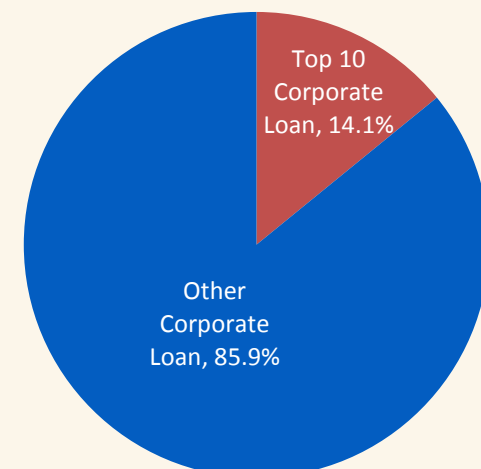
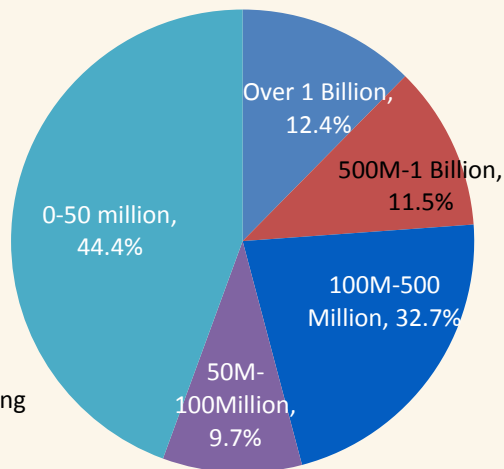
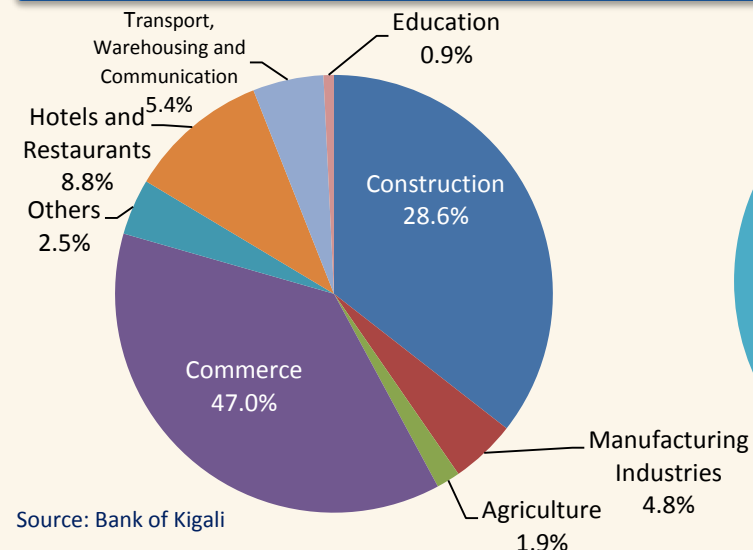
YE 2012



■ Corporate Loans

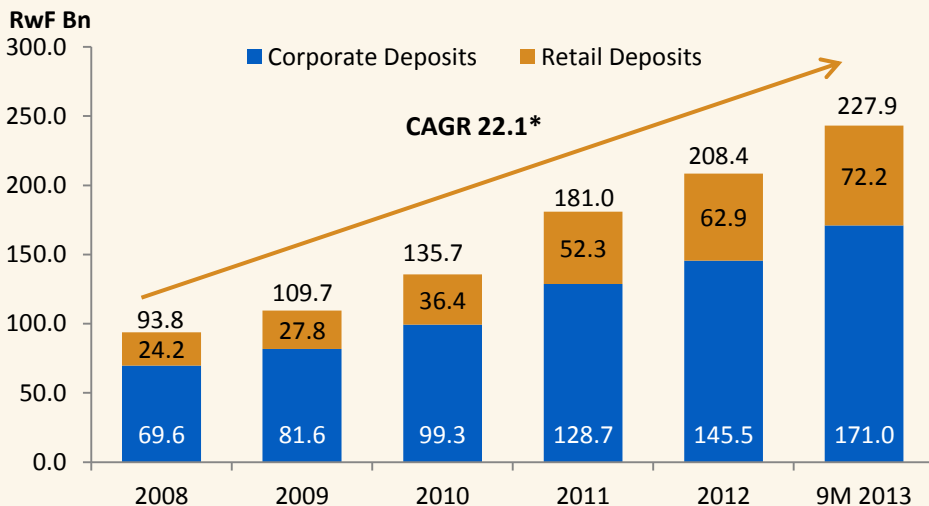
■ Retail Loans

Corporate Loan Book 30 September 2013



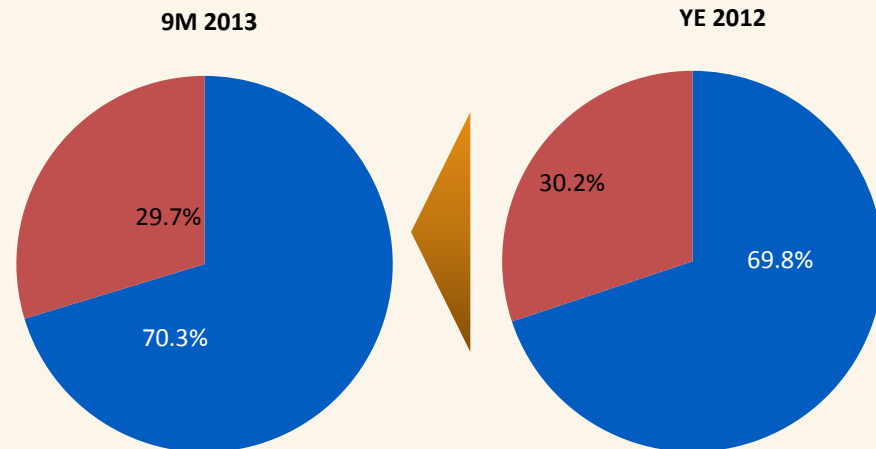
Customer Deposit Base

Customer Deposits Growth



* CAGR calculated from 2008-2012 Source: Bank of Kigali

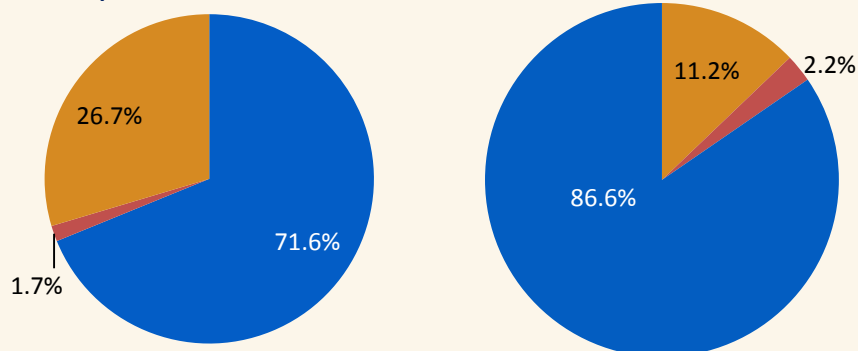
Customer Deposit Segmentation



Structure of Deposits, 30 September 2013

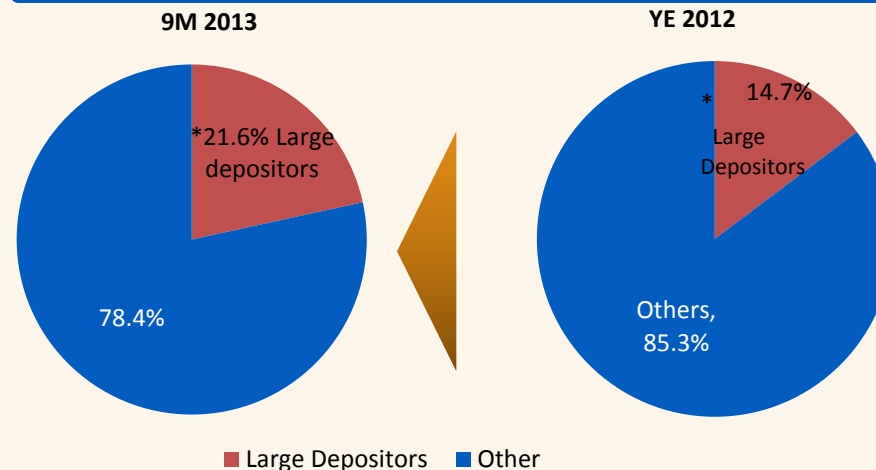
Corporate: RWF 171.0 Bn

Retail: RWF 72.2 Bn



- CB Demand Deposits
- CB Collateral Deposits
- CB Term Deposits
- Term Deposits
- Savings Deposits
- Demand Deposits

Customer Deposits Concentration



Notes: * depositors with total balances above 5% of shareholders' equity of BoK Source: Bank of Kigali

Corporate Banking

Description



☒ Clients include corporate, SMEs and NBAs*

☒ Interest rates are in the 16-18.5% range. Key products:

☒ CAPEX loans: long-term loans for investment or expansion of the business

☒ Commercial mortgage loans: typical customer participation at 30% of property value, typical tenor of up to 10 years

☒ Working capital loans: financing business needs to an agreed limit for a short period (usually <1yr)

☒ Overdrafts

☒ Strategy

☒ Introduce new services, integrate client coverage

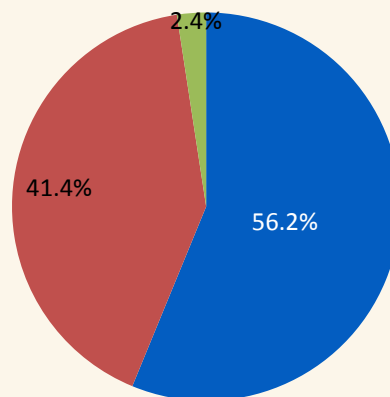
☒ Grow and consolidate market share

☒ Leverage superior lending capacity

☒ Focus on payroll services

*NBAs (Non Business Associations) includes Non-Profit Organizations, Charities, Religious institutions, Educational Institutions, Cooperatives, etc.

Key Segments as at 30 September 2013

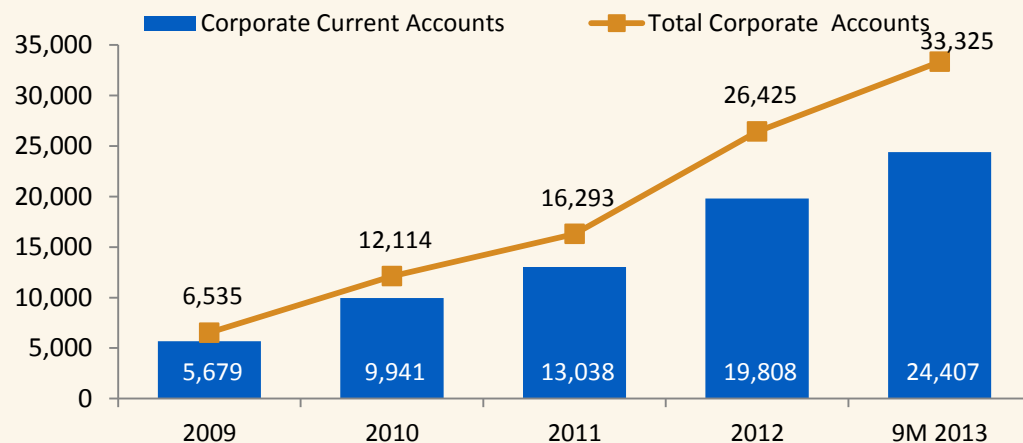


■ Corporate ■ SMEs ■ NBAs

Corporate Loans: RwF 136.9 Bn

Corporate Deposits: RwF 171.0 Bn

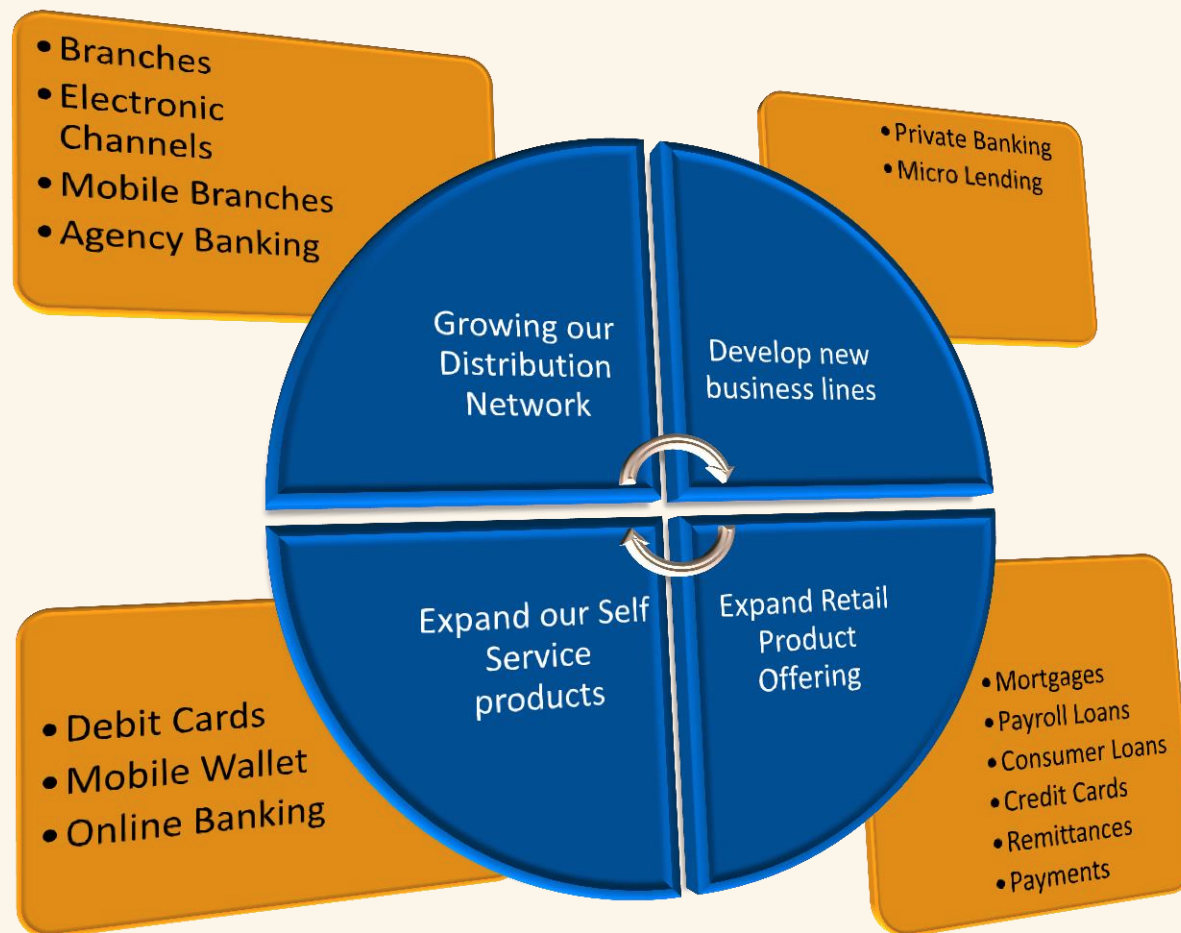
Number of Corporate Accounts



BANK OF KIGALI
Financially transforming lives



Executing The Retail Strategy



Retail Banking

Description

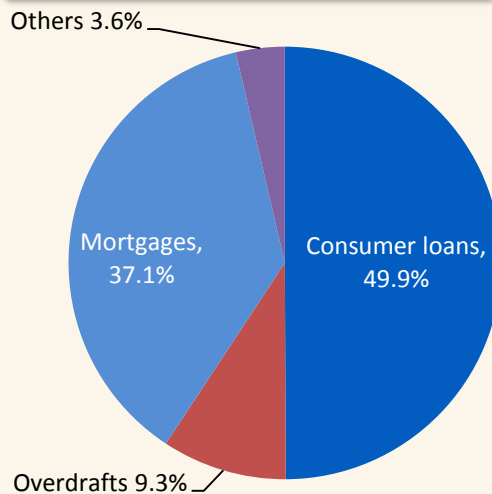
- The Bank's retail business is primarily focused on mortgages and consumer loans with notable share of salary backed overdrafts
- Key products:
 - Mortgage loan: up to 15 years with typical customer participation at 30% of property value
 - Consumer loan: up to 12x monthly salary and 48 months
 - Overdraft: up to 60% of monthly salary (normally repaid in 30 days)
 - Other products include credit cards and asset based financing
- Strategy:
 - Build a ubiquitous branch footprint throughout the country
 - Build sufficient channel capacity to be able to service 500,000+ clients by 2015
 - Build out the retail product lineup to achieve relevance to the daily lives of the banked population
 - Expand credit card/debit card offering to other providers (MasterCard, AMEX etc)

Our Products

BK CASH POINT

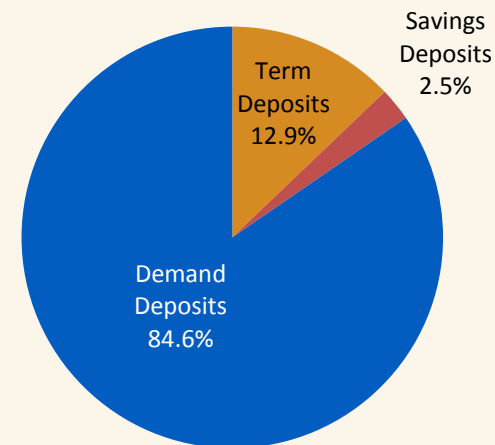


Retail Lending



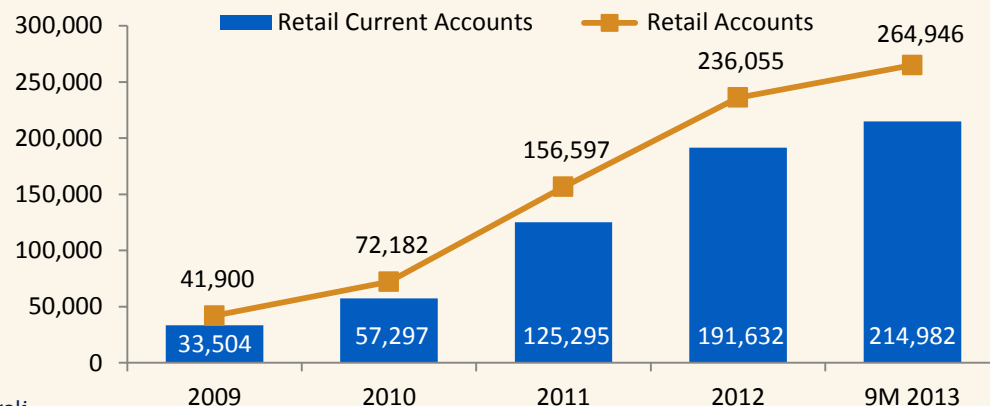
Retail Loans: RWF 69.0 Bn

Retail Deposits



Retail Deposits: RWF 72.2 Bn

Number of Retail Accounts

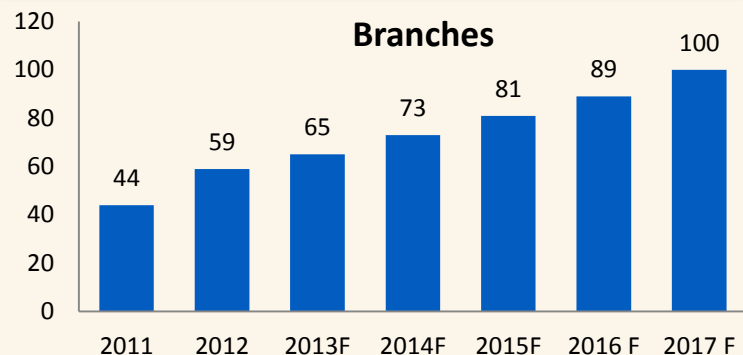


Source: Bank of Kigali

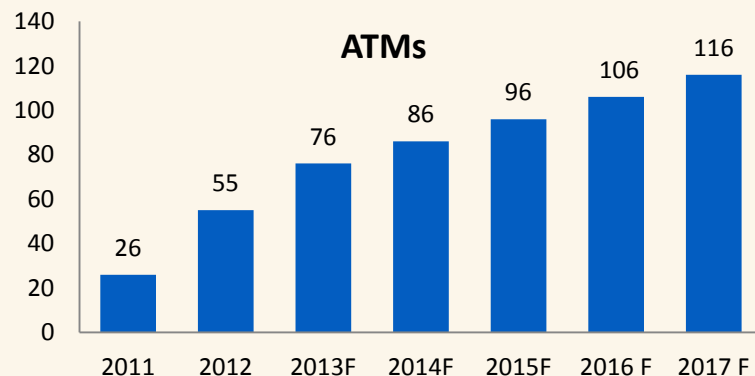
Growing Our Distribution Network

Ubiquitous footprint

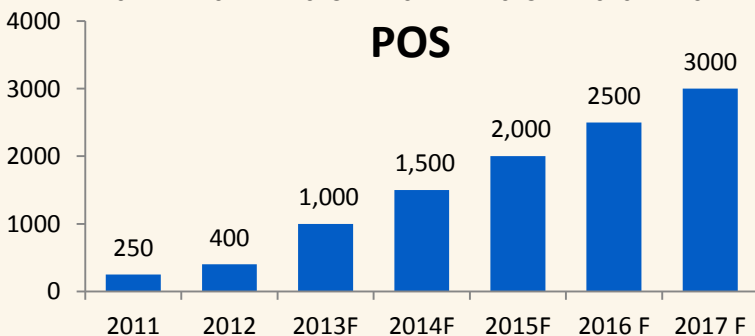
Branches



ATMs



POS



Increasing functionalities of our delivery channels

2013 Targets

- Card less transactions at ATMs through our mobile banking and mobile wallet applications



Agency Banking

- Over 650 agents had been approved at the end of September 2013 with over 650,000 transactions processed.
- Agents are able to perform cash in and cash out transactions, open customer accounts as well as send and receive money.
- Introduce 20 BK owned agent kiosks in high traffic areas
- Partnership with mobile Telco's expanded to target



Other Initiatives

- 4 additional mobile vans to be deployed across the country
- Launch Airtel Money across all branches
- Partnership with Airtel to launch microloan & trust account product
- Launch e-commerce platform



Expanding Our Self Service Products

Growing our Card Business

2012 Achievements

- Launch of Visa Classic and Visa Gold Credit Cards
- 84,000 Visa Electron currently in circulation
- CUP and Diners Club Card Acquiring
- Deposit taking ATMs

2013 Achievements

- Signing of E-commerce contract with Iveri

2014 Targets

- Launch of Visa Platinum and Visa Infinite Credit Cards
- Launch of E-commerce platform



Increasing our Mobile product offering

1. Enhancing our mobile banking service

- Our mobile banking service allows customers to perform the following transactions:
 - Purchasing prepaid TV, airtime and electricity
 - Check Balances and Bank information
 - Order cheque books

2. Mobile payment platform-mPay

- The platform enables our clients to make purchases at selected merchants as well pay for utilities using their mobile phones
- mPay was launched in the 1H 2012 and is now part of the wider BK Yacu brand that provides for merchant payment, agency banking and self service under MobiServe.

3. Mobile wallet(mVISA)

- mVISA mobile wallet was officially launched in July 2013.
- The product provides access to formal financial services to any household or Rwandan with a mobile phone.
- Customers can send and receive money as well as make deposits and withdrawals in addition to other services.
- 5,000 transactions processed to date with over 6,300 accounts opened.

Attractive Products



Refreshing Product And Service Line Up

New Business Lines

Teleco mobile money agency

2012 Achievements

- Super agent for the two telcos
- All MTN and Tigo Mobile Money launched in 59 branches & MobiBanks.
- Virtual money customers can deposit, withdraw at any of the BK branches countrywide

2013 Targets

- Launch Airtel Money across all branches
- ATM withdrawals of Mobile Money



Grow Retail Product Offering

1. Loan Products

- Top up mortgages
- Consumer loans to tap the growing middle class
- Credit cards
- Payroll loans: Leveraging our corporate clients' payrolls



2. Remittances

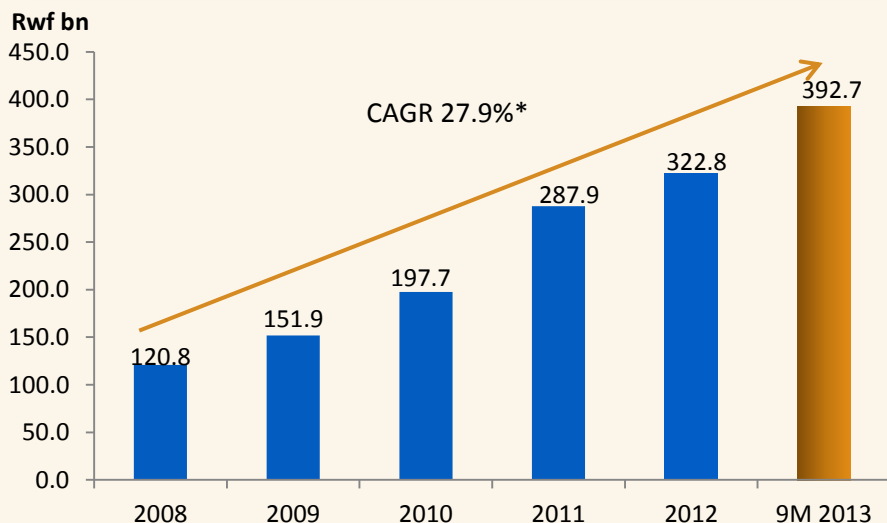
- Grow our Western Union market share from 39% to 42%
- Increase functionality of Western Union to enable direct transfers to current accounts and mobile wallets
- Harmonise BK tariff structure with the region to increase competitiveness
- Expand our offering to Express Money and Moneygram across all branches and sub agents



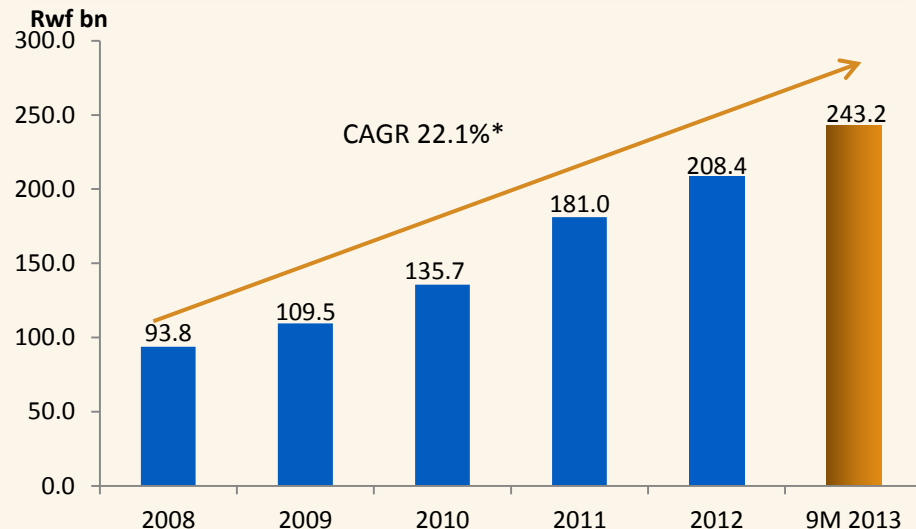
REVIEW OF FINANCIAL PERFORMANCE IN 9M 2013

Balance Sheet Highlights

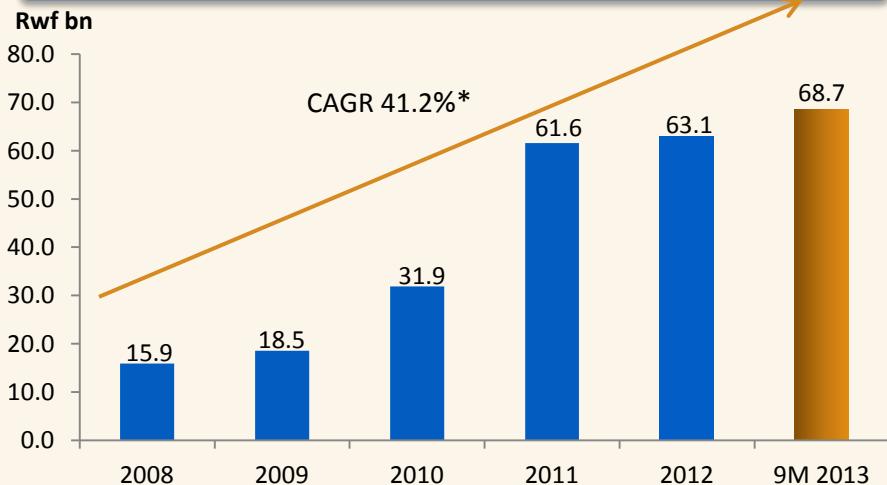
Total Assets



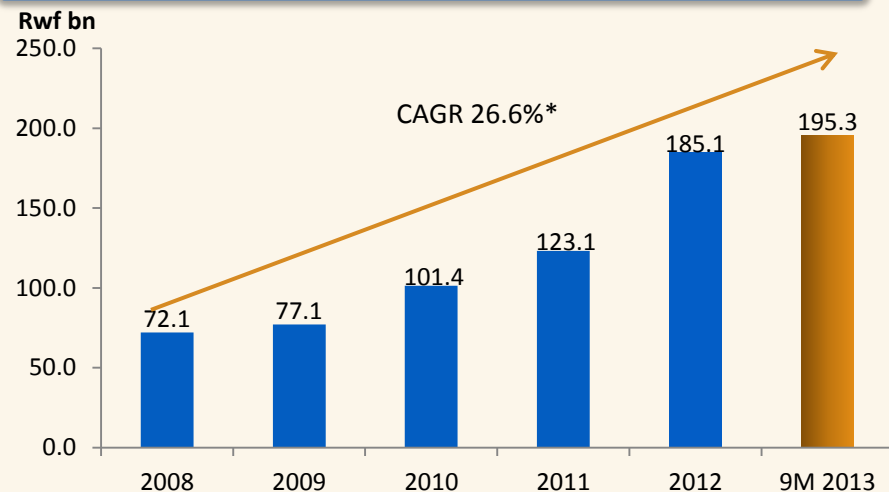
Customer Deposits



Shareholders' Equity



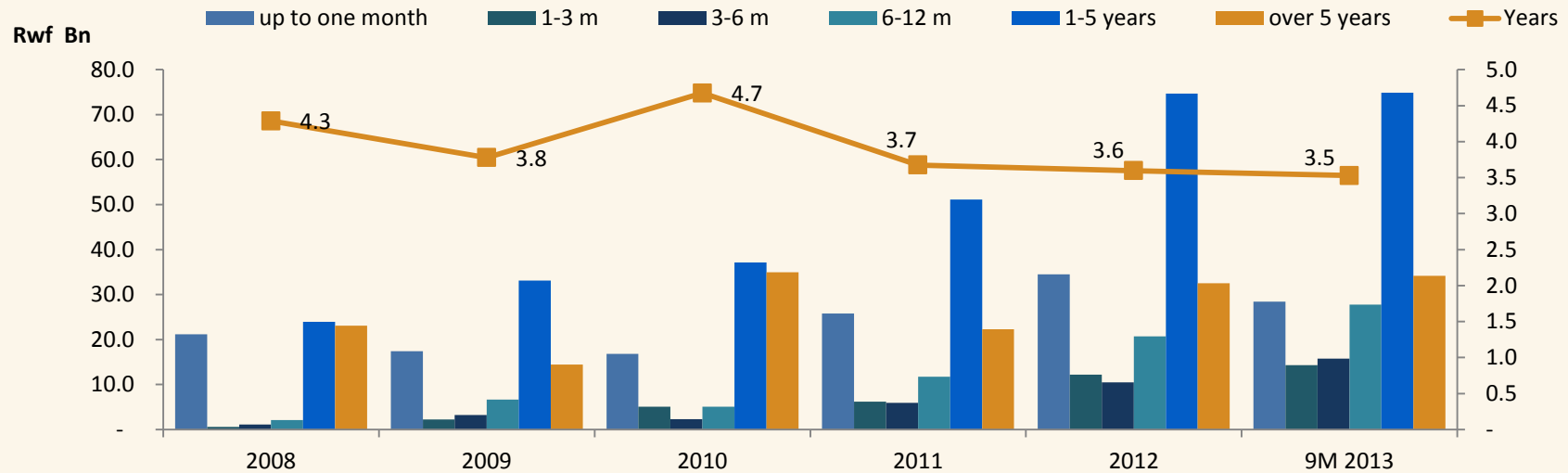
Net Loans



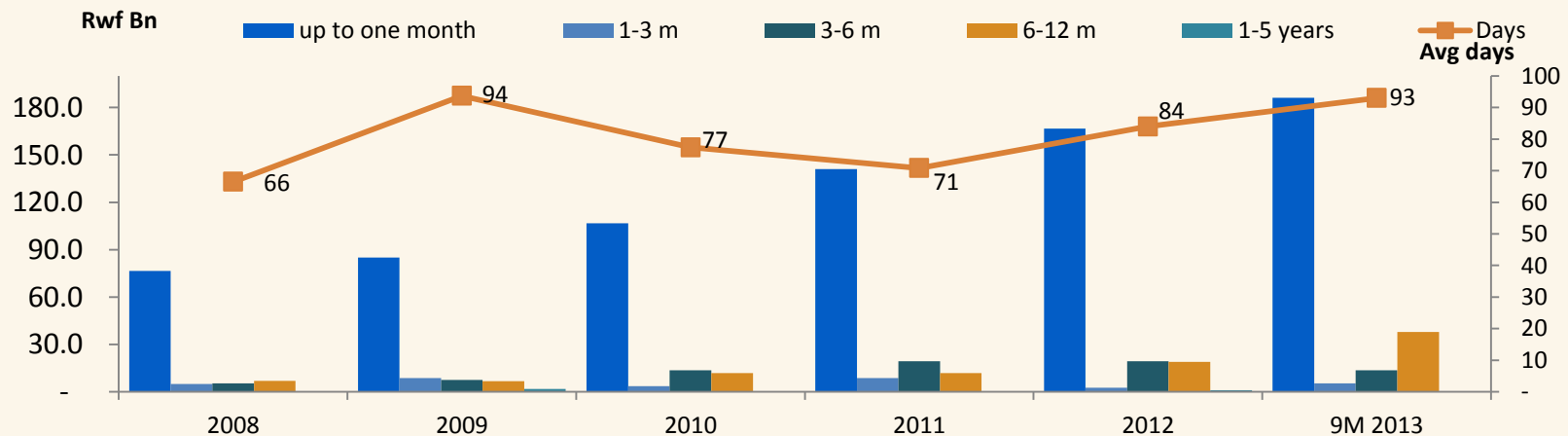
CAGR* 2008-2012

Maturity Profile

Loans

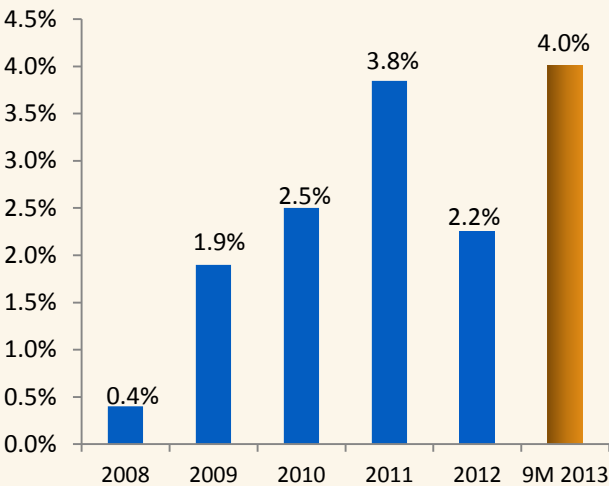


Customer Deposits

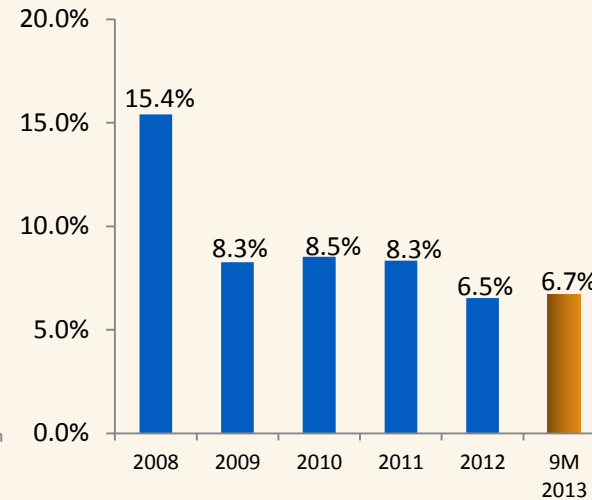


Asset Quality

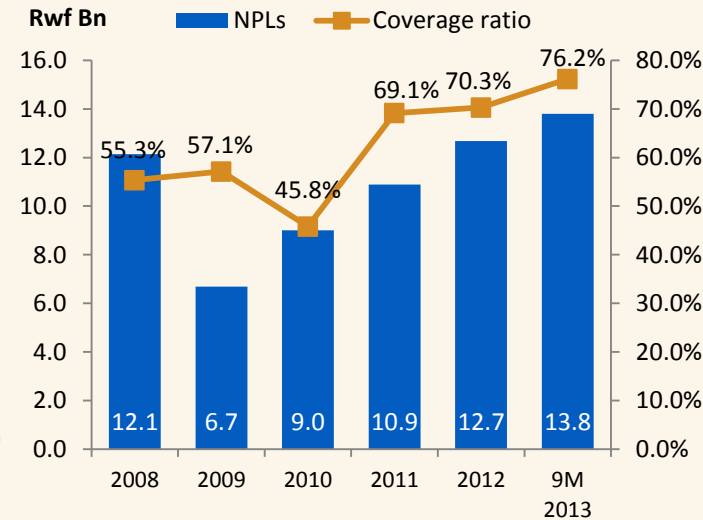
Cost of Risk**, %



Manageable NPL Ratio



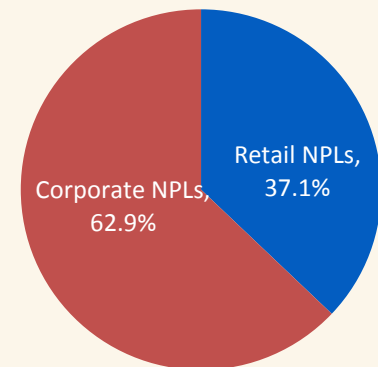
Improving Coverage Ratio



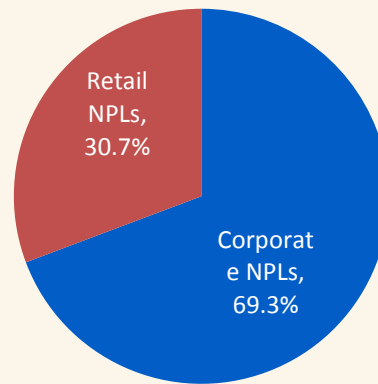
Notes: ** LLP charge / Average gross loans for period

NPLs by segment

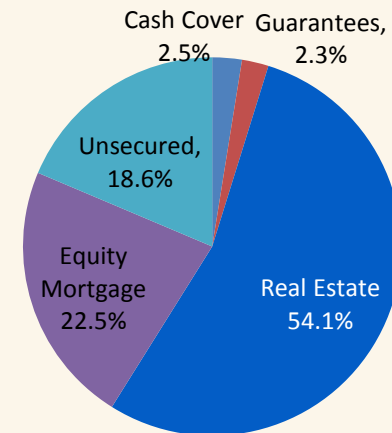
9M 2013



YE 2012



Collateral Structure



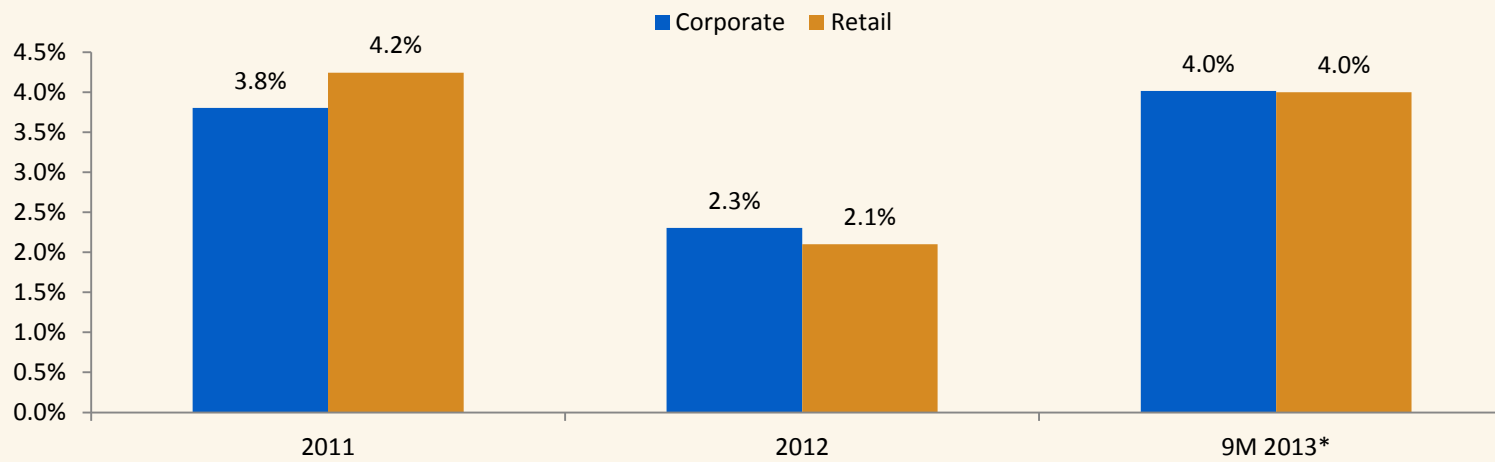
Source: Bank of Kigali Audited IFRS Statements 2007-2012, Q1 2013 reviewed results

Asset Quality

Gross loan Yield



Cost of Risk



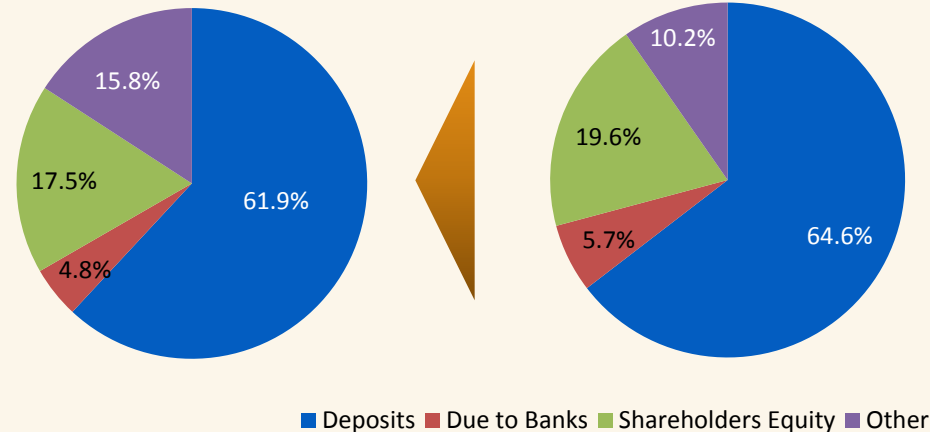
*annualised

Funding

Funding Structure, %

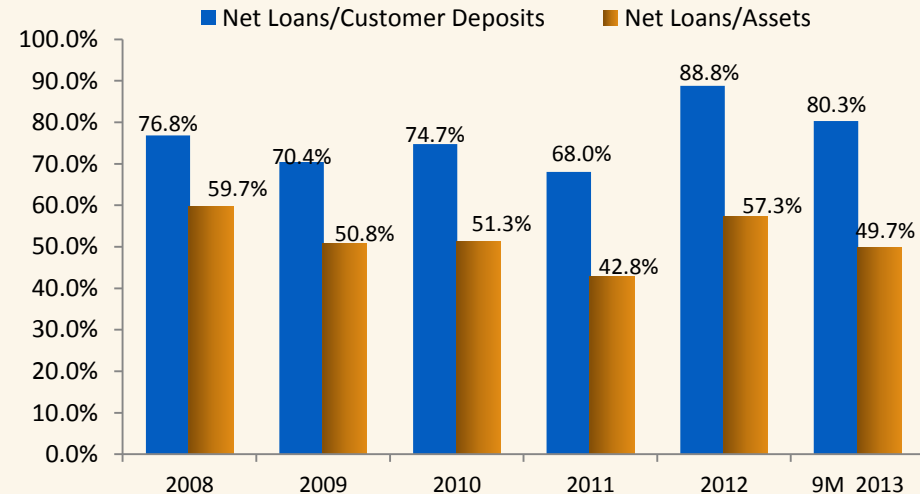
9M 2013

YE 2012

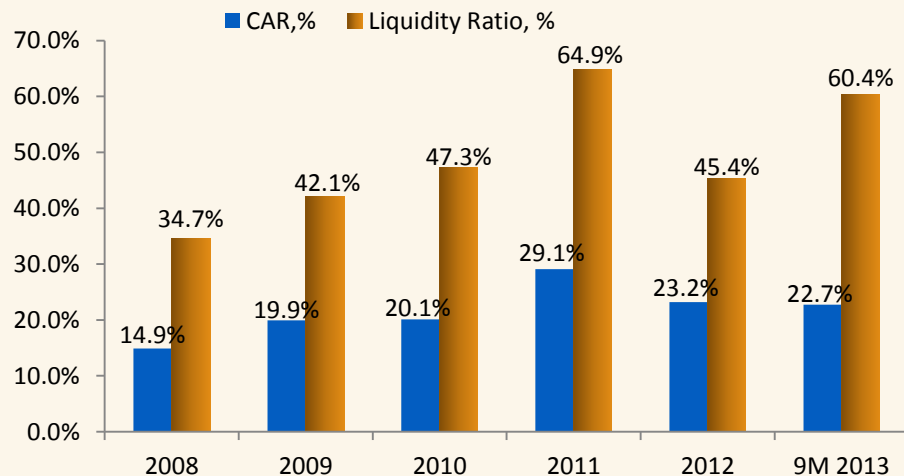


■ Deposits ■ Due to Banks ■ Shareholders Equity ■ Other

Significant Potential For Growth In Higher Yielding Assets



Strong Capital And Liquidity Position



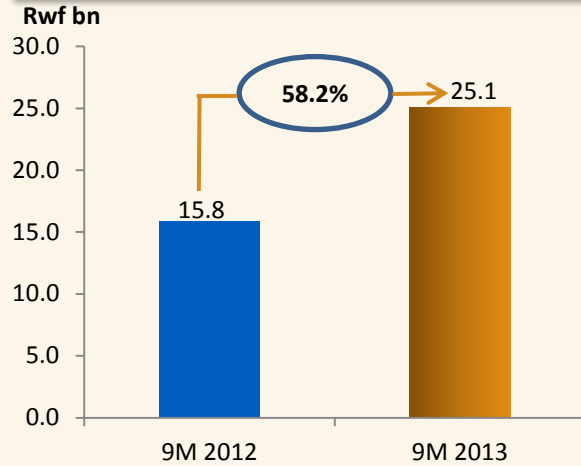
Highlights

- Deposits are the primary source of funding with share of deposits at 61.9% as at the end of September 2013
- Strong growth in deposits has been driven by our branch expansion as well the introduction of various deposit mobilizing initiatives such as mobile vans and agency banking
- The Bank drew down \$ 20 million through lines of credit with PTA Bank and OFID in the quarter

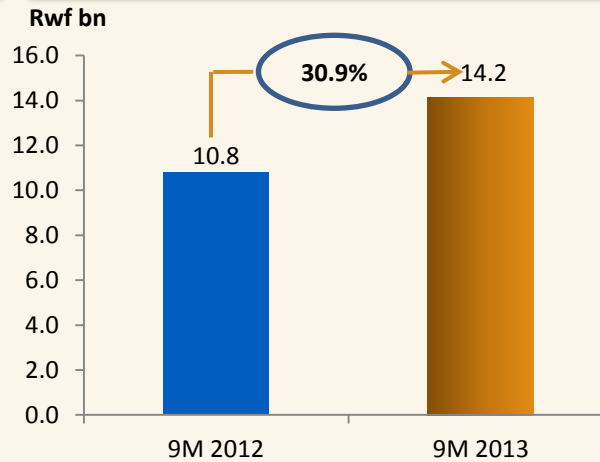
Source: Bank of Kigali 2008- 2012 audited IFRS Financial Statements, 9M 2013 Reviewed Results

9M 2013 Performance Highlights

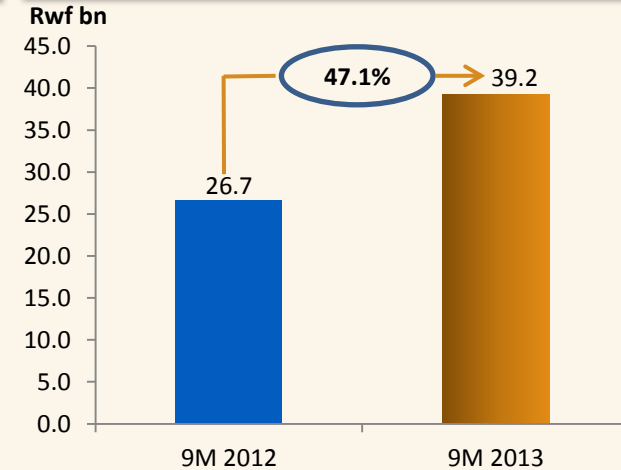
Net Interest Income



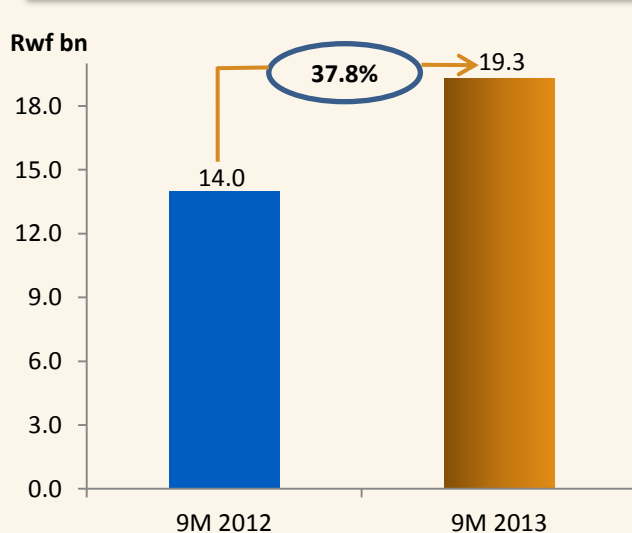
Net Non-Interest Income



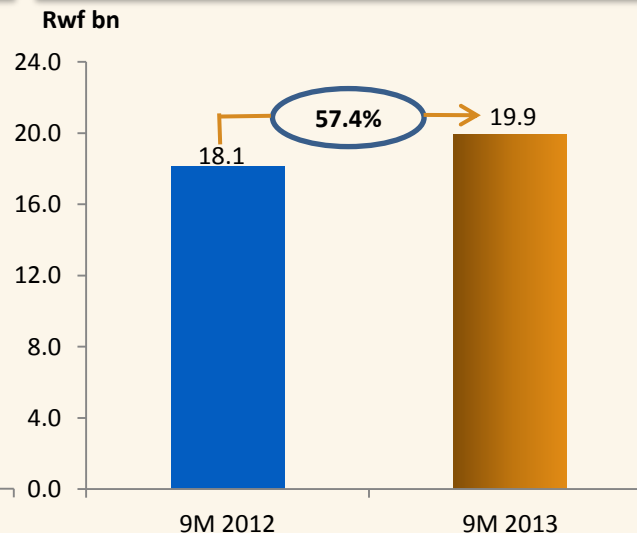
Total Operating Income



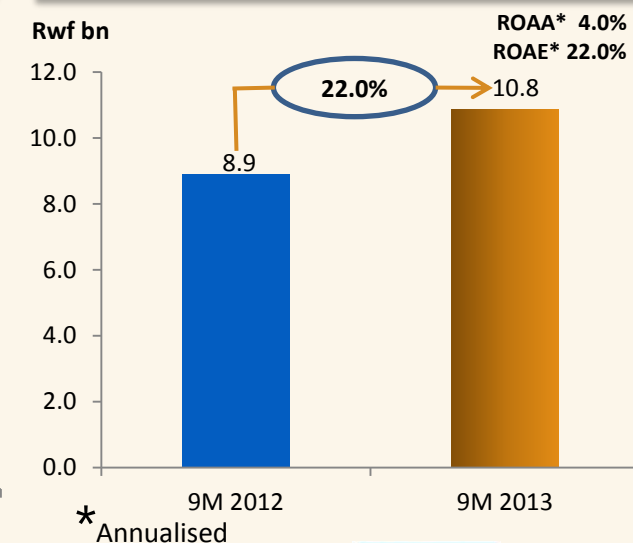
Total Operating Costs



Profit Before Provisions

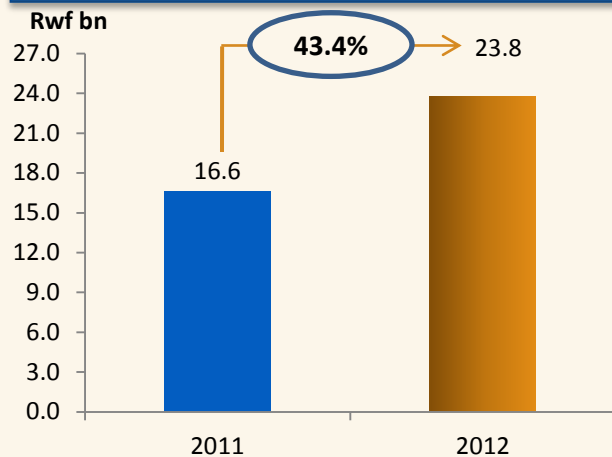


Net Income

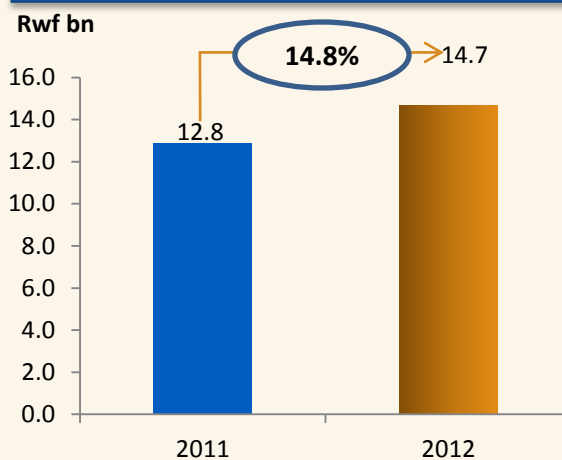


2012 Performance Highlights

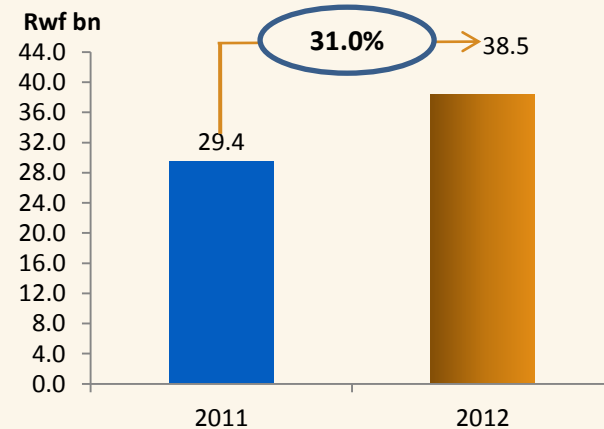
Net Interest Income



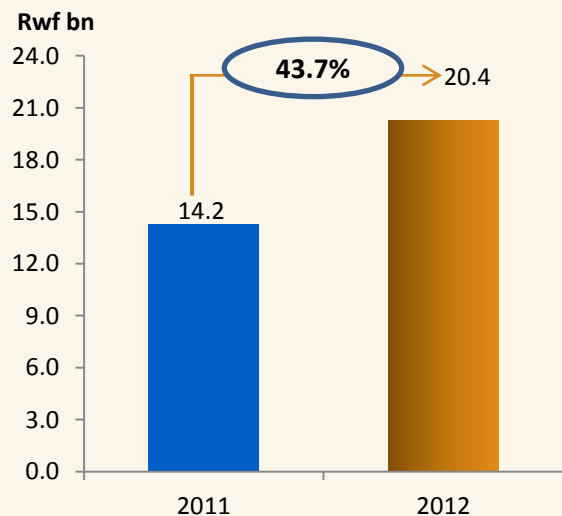
Net Non-Interest Income



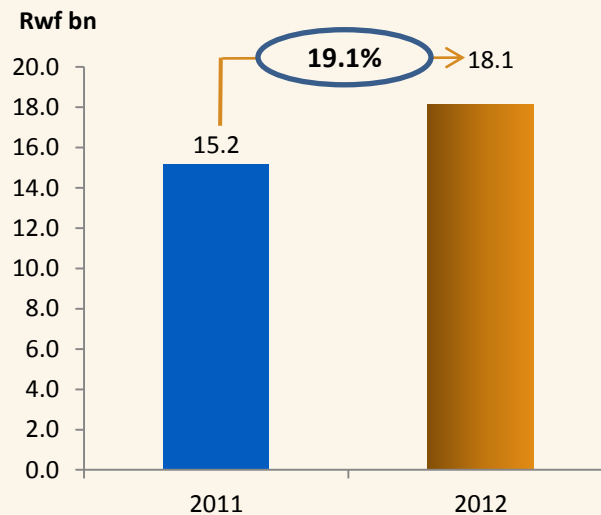
Total Operating Income



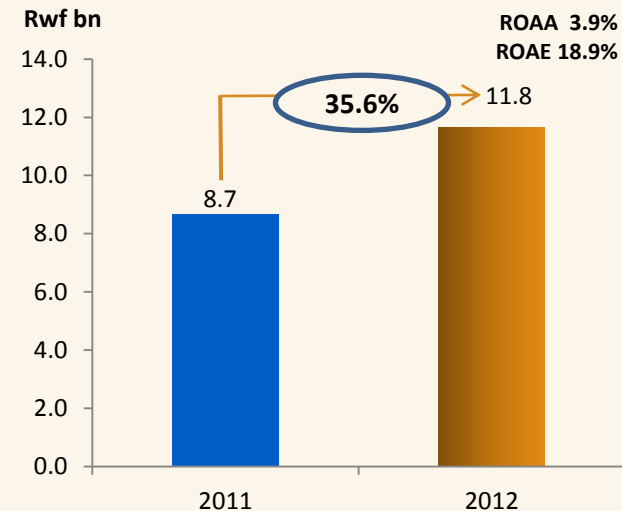
Total Operating Costs



Profit Before Provisions

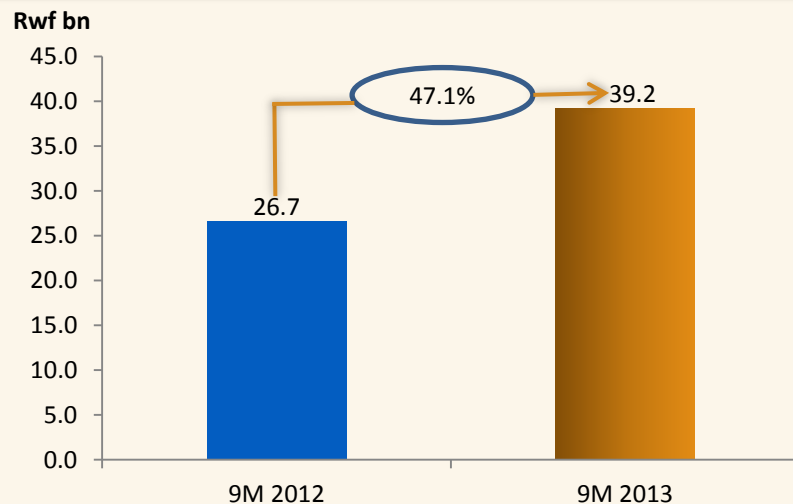


Net Income

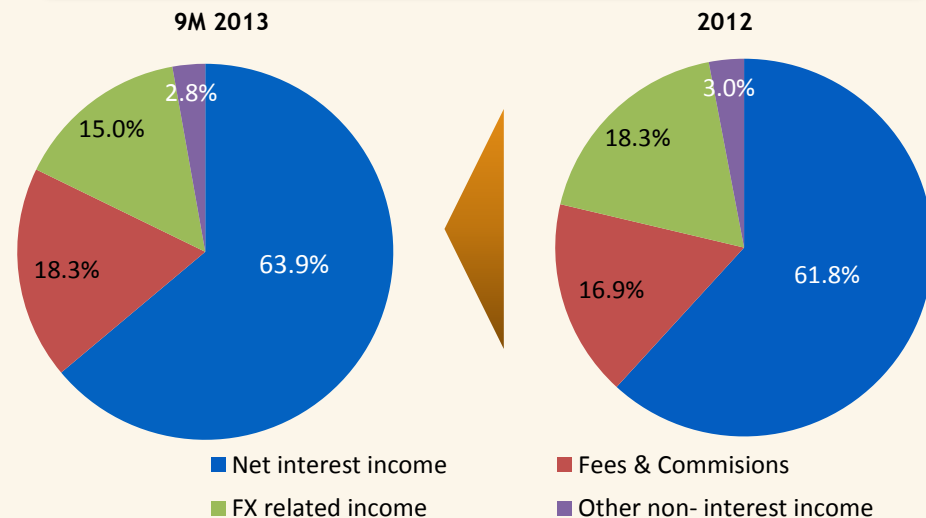


Income Statement Highlights

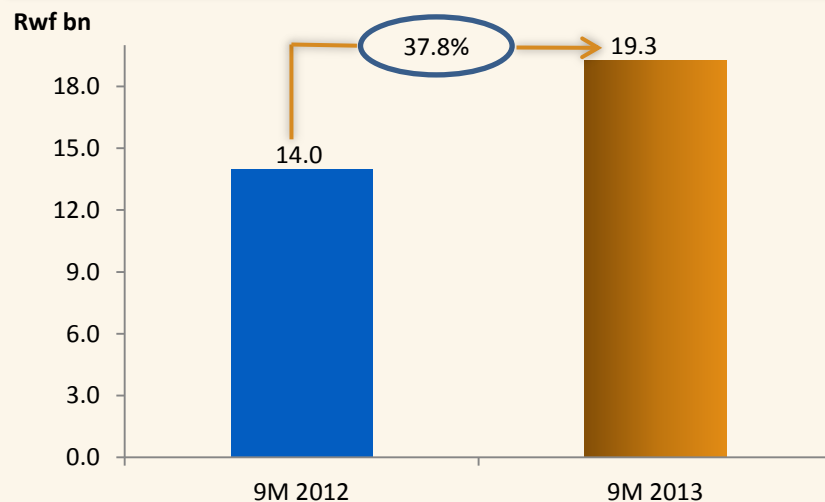
Total Operating Income



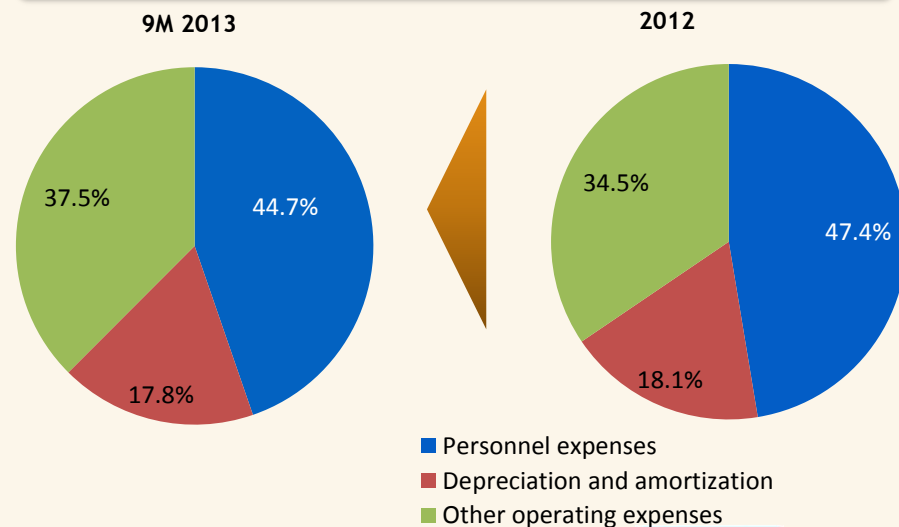
Composition of Total Operating Income



Total Operating Costs

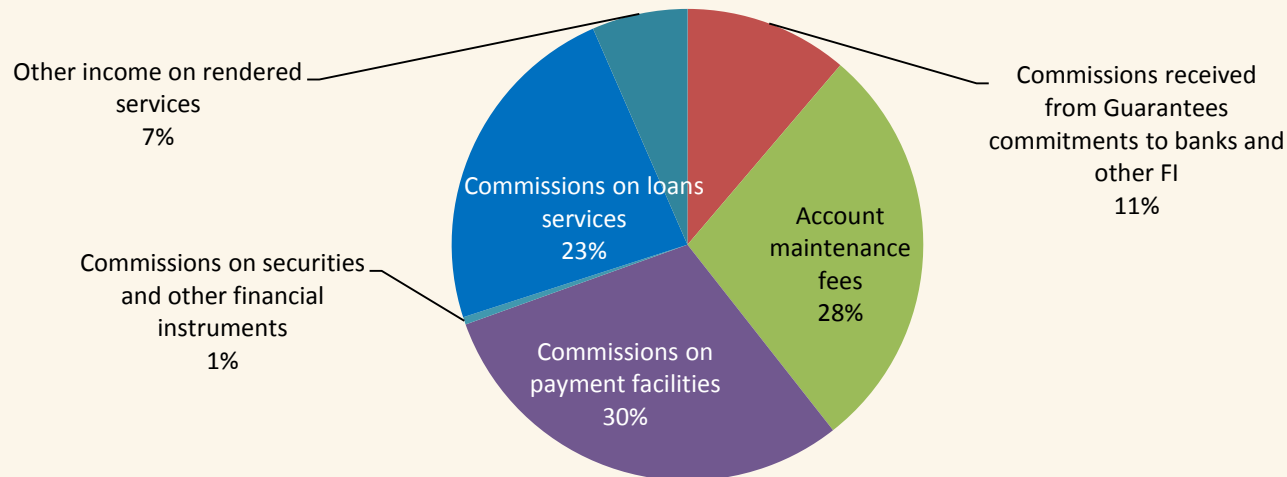


Composition of Total Operating Expenses

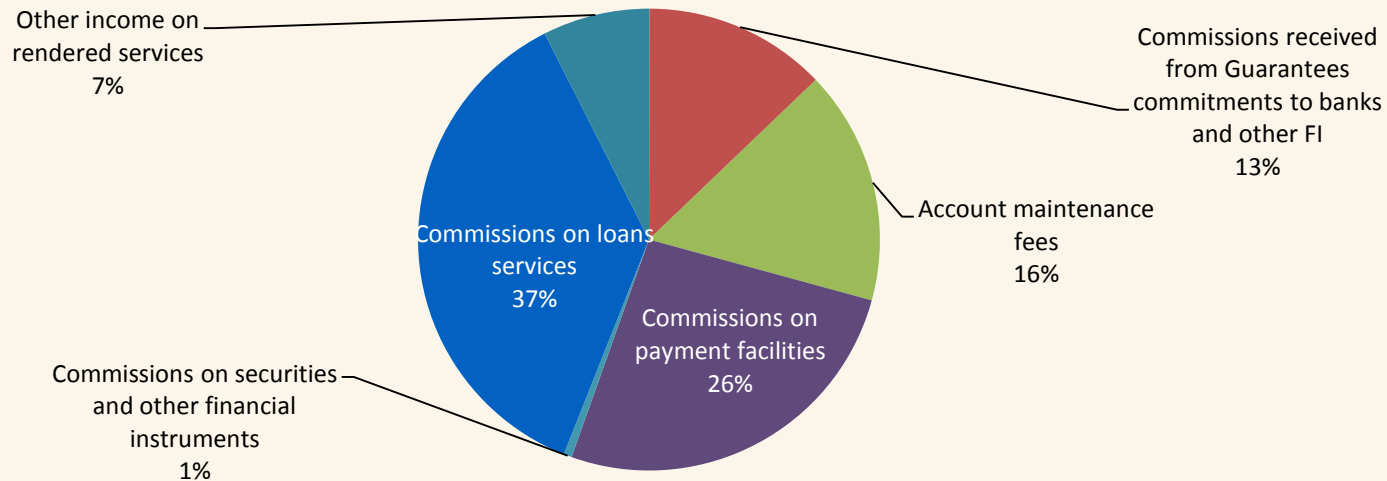


Fees & Commission Income

9M 2013

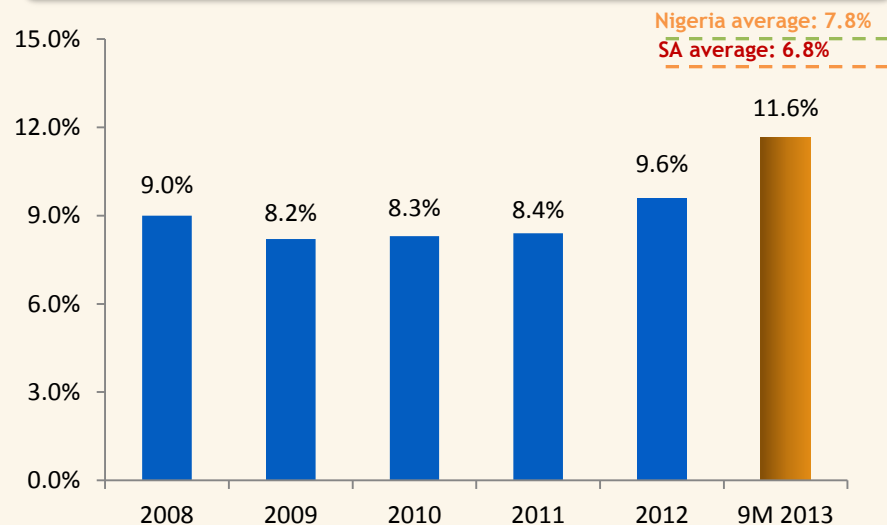


2012

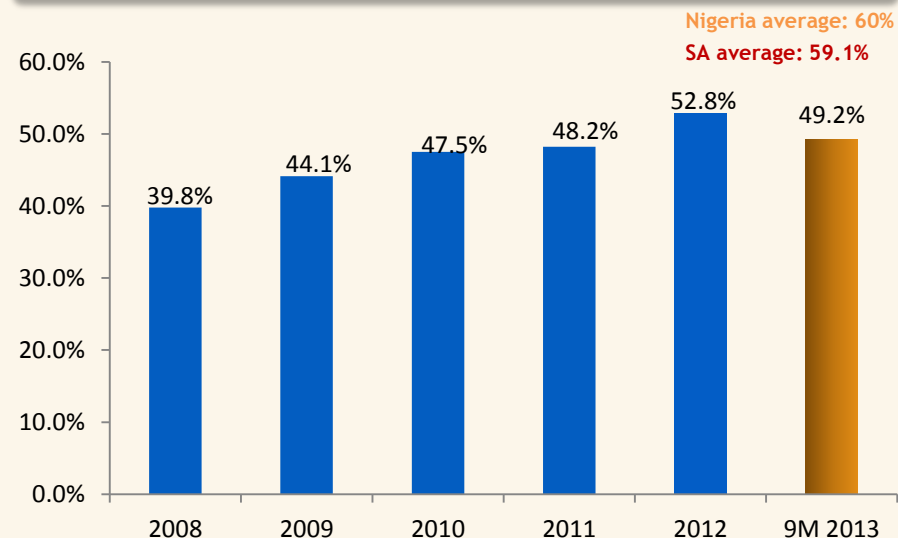


Consistent Profitable Growth

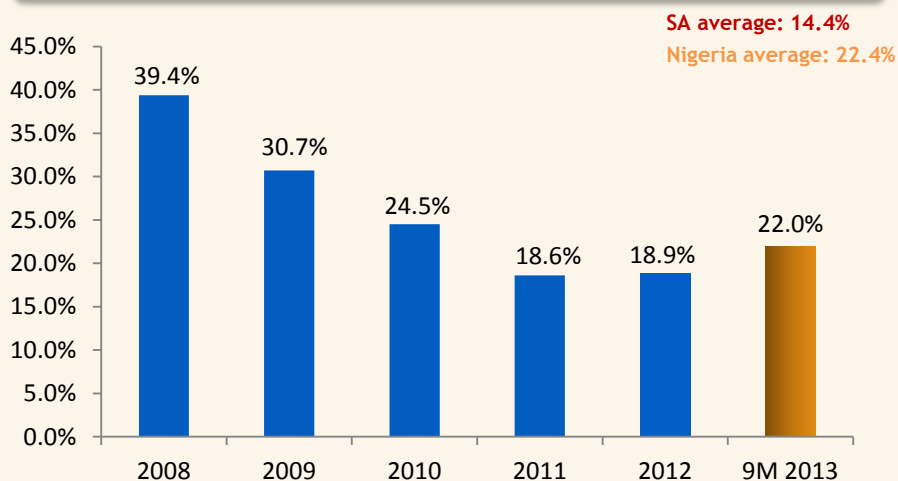
Sustainable Net Interest Margin, %



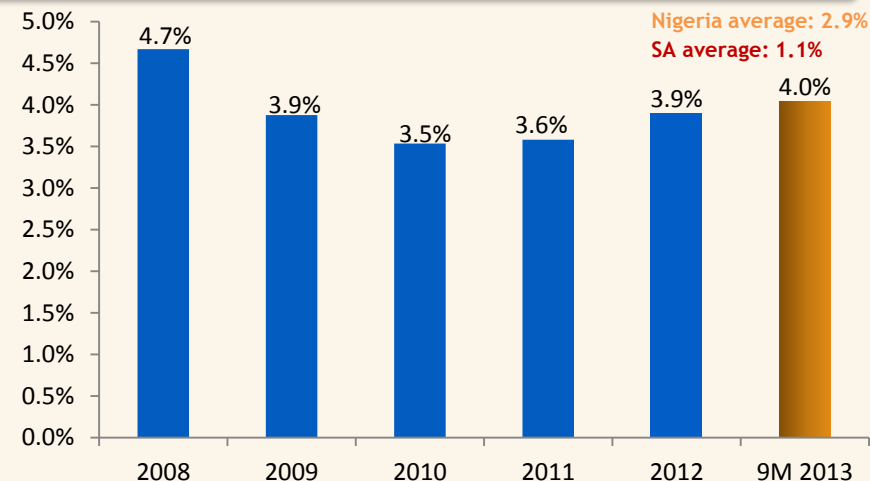
Attractive Cost/Income ratio



Stable Returns To Shareholders, %



Strong Return on Average Assets, %



Source: Bank of Kigali Audited IFRS Statements 2009-2012, 9M 2013 Reviewed Results, African Alliance Research 2012, Ecobank Research; Nigerian Banking Sector FY 2012 Review

STRATEGIC OUTLOOK

Strategic Outlook

Objectives

Strategies

Action

Outcomes

Customer growth in terms of current accounts – increase current accounts by 100,000 in 2014

Build a ubiquitous branch footprint throughout the country

Build sufficient channel capacity

Expand retail product offering

- ☒ Expand the branch network to 70+ branches by YE 2014
- ☒ Increase the number of ATMs, POS terminals and cards outstanding
- ☒ Build a modern and scalable mobile banking and Internet banking platforms
- ☒ Alternative client acquisition & service channels (retail chains, co-branded cards, utilities, etc)
- ☒ Flexible, offset, variable-rate, etc mortgages
- ☒ Full range of consumer loan products
- ☒ Revolving credit cards
- ☒ Payroll & pension-backed loans & overdrafts
- ☒ Microfinance
- ☒ Modern, multi-currency current accounts with debit cards
- ☒ Ubiquity of ATMs and POS terminals in urban centers and reasonable proximity elsewhere
- ☒ Payment & e-wallet solutions
- ☒ Full range of deposit products

- ☒ Benefit from first-mover advantage outside the capital city, making it more difficult for the competitors to follow suit
- ☒ Reach out to the unbanked (but bankable) population
- ☒ Become the bank of choice and convenience for the middle class and youth entering the employment sector
- ☒ Create capacity to service 500,000+ clients
- ☒ Maximize the product-to-client ratio
- ☒ “Grow with clients”
- ☒ Valuable source of retail clients through payroll programs
- ☒ Growth of loan book and F&C income

Healthy structure & growth of balance sheet >20% growth in 2014

Increase the loan to asset ratio to 60%

Increase retail loans penetration

Consolidate the leading position in corporate banking

Increase the maturity profile of liabilities

Create a universal banking platform

- ☒ Integrated client coverage
- ☒ Leverage the superior lending capacity
- ☒ Cross-selling opportunities
- ☒ Documentary operations & trade finance, FX, other solutions
- ☒ Rep offices in EAC from 2012
- ☒ Leverage the superior access to wholesale funding to complement the deposit funding base
- ☒ Private Banking, Securities, Insurance

- ☒ Diversification of funding base
- ☒ Expand the share of higher-margin lending
- ☒ Maximise the cross-sell opportunities
- ☒ Grow the share of retail in the loan book up to 30%-40% in the medium term
- ☒ Reduce maturity gap
- ☒ Enable further expansion of long-term lending
- ☒ Further diversification of revenue streams

Earnings growth ~22%
Return on Average Equity > 20%

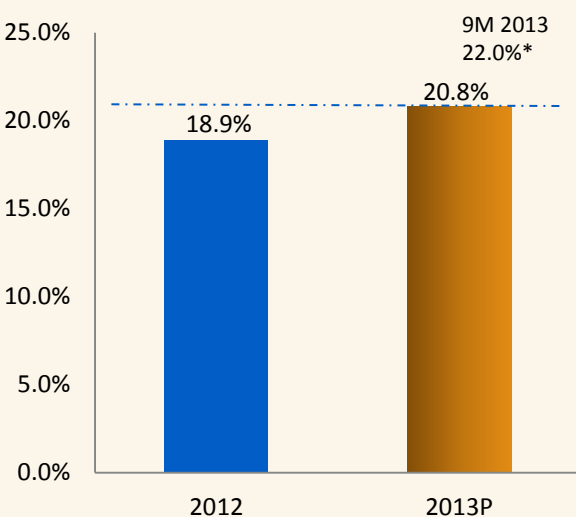
Maintain profitable growth

- ☒ Continuous improvement of risk management policies & procedures
- ☒ Disciplined capital management, medium term target CAR of 15%-17% and ROAE of 20%+, implying ROAA in the 3.5% range

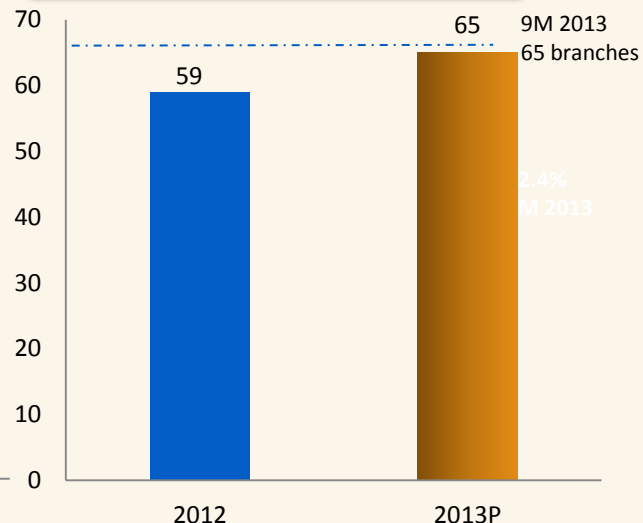
- ☒ No profitability sacrifices for the sake of market share gains
- ☒ Sensible dividend policy as the growth curve flattens out over time

Management Targets

Return on Average Equity



Branch expansion



Other Selected Management targets

- Grow net income by 25% Y-o-Y
- Grow total assets by 20% Y-o-Y
- Lower NPL ratio to less than or equal to 5%
- Increase number of retail current accounts by 100,000
- Launch e-commerce platform by end of 2013

Contact Information

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